

# STARBUCKS (NASDAQ: SBUX)



## GROUP 1

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## EXECUTIVE SUMMARY

We are initiating coverage of Starbucks Corporation with a HOLD rating and an \$85 price target, representing approximately 14% downside from the current price of ~\$99. Although our valuation indicates SBUX is modestly overvalued, we stop short of an outright SELL because (i) the "Back to Starbucks" turnaround under CEO Brian Niccol is showing tangible early traction, with Q1 FY26 global comparable sales of +4% representing the first positive quarter in seven; (ii) the recently-closed China JV with Boyu Capital eliminates a structural overhang and unlocks \$4 billion of cash; and (iii) the long-term franchise strength of the brand is durable.

Our \$85 price target is the pro-forma average of four intrinsic-value methods (FCFF, EVA, FCFE, EBO). Our WACC of 7.34% uses Damodaran's January 2026 paired inputs — a risk-free rate of 4.18% and implied equity risk premium of 4.23%, combined with SBUX's published 5-year beta of 0.94 and a target capital structure of 80.85% equity / 19.15% debt. At this WACC, terminal growth of 3%, and an EBIT margin recovery to roughly 14.7% by FY32, our base case produces an average of \$81.15 standalone or \$84.66 pro-forma for the Boyu JV. We round to \$85 as our price target.

To justify \$99, an investor must underwrite either (a) terminal EBIT margins above 16%, near the pre-Covid peak; (b) an even lower WACC closer to 7.0%, typical of consumer staples; or (c) a substantial acceleration in revenue growth beyond management's own guidance. The market is paying for a clean, fast turnaround. Our model prices in a successful turnaround and still implies ~14% downside, reflecting the cost of execution risk.

## COMPANY BACKGROUND

Starbucks Corporation is the world's largest specialty coffee retailer, operating approximately 41,000 stores across 80+ markets through a combination of company-operated and licensed formats. The company reports through three segments: North America (74% of FY25 revenue), International (21%), and Channel Development (5%, primarily the Global Coffee Alliance with Nestlé). FY25 total net revenues were \$37.2 billion, with diluted EPS<sup>1</sup> of \$1.63 — down sharply from \$3.31 in FY24, reflecting both restructuring charges and operating margin compression as the company invested in its turnaround.

The business model is anchored on differentiation rather than cost leadership. Starbucks positions itself as the "third place" between home and work, supported by ethical sourcing, a digital ecosystem with 35.5 million U.S. Rewards members<sup>2</sup> as of January 2026, and significant operating-lease real-estate scale. Beverage sales represent 61% of revenue and carry meaningfully higher margins than food (19%) or other (20%).

Brian Niccol joined as CEO in September 2024 from Chipotle, where he led one of the most successful restaurant turnarounds of the past decade. His arrival was the catalyst for the "Back to Starbucks" strategic reset, which prioritizes labor reinvestment to restore service quality, menu simplification to

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<sup>1</sup> Starbucks Corporation FY25 Annual Report (10-K), filed November 2025. Total net revenues of \$37.2B and diluted EPS of \$1.63.

<sup>2</sup> Starbucks Q1 FY26 Earnings Release, January 2026. Active Rewards members as of the quarter ended December 2025.

improve throughput, store experience uplifts, and selective international growth via licensed partners. The leadership team has deep retail experience; CFO Cathy Smith was previously CFO at Nordstrom and Bristol Myers Squibb. Governance is sound — majority-independent board, performance-based compensation, and shareholder-friendly clawback provisions. The principal gap is the absence of a direct ROIC-based metric in long-term incentive design.

The most consequential management action of FY25-26 was the November 2025 announcement (closed April 2, 2026) of the joint venture with Boyu Capital for SBUX China retail operations. Under the terms, Boyu acquired a 60% stake; SBUX retained 40% and continues to own and license the brand. The total value SBUX expects from the China business is \$13B+<sup>3</sup> across cash proceeds, retained equity interest, and the NPV of ongoing royalties. China company-operated stores were running below NA-segment profitability, and the JV structure transfers operational complexity to a partner with deep local market knowledge while preserving SBUX's brand economics.

## INDUSTRY AND STRATEGY ANALYSIS

The U.S. specialty coffee industry is mature, saturated, and increasingly price-competitive. Same-store traffic for the QSR coffee category was negative for six straight quarters through FY25 as consumers pushed back on cumulative price increases (~30% since 2019) and competitive entrants took share at the margin. International growth has been uneven, with China — historically SBUX's largest growth lever — facing intense competition from Luckin Coffee, which surpassed SBUX in Chinese store count<sup>4</sup> and charges roughly one-third of SBUX's price point.

## PORTER'S FIVE FORCES

**Rivalry:** High. The U.S. coffee category has matured, switching costs are zero, and competitors compete on price, convenience, and brand across national chains (Dunkin', McCafé), specialty regional chains (Dutch Bros, 7 Brew), and independent third-wave operators.

**Supplier power:** Low. SBUX has vertical integration in roasting and global sourcing diversification. The Global Coffee Alliance with Nestlé provides additional supply chain leverage.

**Buyer power:** Medium-to-high. Customers are price-sensitive with abundant alternatives. The loyalty program — \$1.75B in unearned revenue from gift cards and stored value, 35.5M Rewards members generating ~60% of company-operated revenue — partially mitigates this.

**Threat of substitutes:** High. At-home brewing, ready-to-drink coffee at retail, and competing chains are effective substitutes across every SBUX price point.

<sup>3</sup> Starbucks press release, November 19, 2025: "Starbucks Reaches Agreement to Partner with Boyu Capital Group for China Business." Transaction closed April 2, 2026.

<sup>4</sup> Luckin Coffee reported approximately 21,000 stores globally as of Q3 2024, surpassing Starbucks China's ~7,600 locations. Source: Luckin Coffee Q3 2024 earnings.

**Threat of new entrants: Moderate. Brand and scale create real barriers in the U.S., but Dutch Bros (1,000+ stores, growing 25%+ annually) demonstrates the market is contestable for differentiated, well-funded entrants.**

SBUX is uncomfortably positioned in the middle of the competitive landscape: premium-priced but no longer premium-experience after years of digital-driven throughput optimization. The Back to Starbucks turnaround has five pillars: (i) labor reinvestment of \$500M+ in FY25 to restore cut hours; (ii) Green Apron Service model rolled out U.S.-wide in Q4 FY25; (iii) Mastrena 3 espresso machines for faster throughput; (iv) coffeehouse uplifts targeting 1,000 stores by end of CY26; and (v) menu extensions targeting the afternoon daypart, premium chai, and energy refreshers.

At the January 2026 Investor Day, management guided to FY28 targets<sup>5</sup> of 5%+ consolidated net revenue growth, 3%+ comparable store sales, 2,000+ net new stores, and Non-GAAP EPS of \$3.35–\$4.00 (excluding ~\$0.15 from China JV). Q1 FY26 results of +4% global comps, +3% transactions, +1% ticket are encouraging early proof points. Six months of positive comps does not establish a durable trend, but the directional improvement is consistent with our base case.

The biggest risks are consumer pushback on pricing in a soft macro environment; rising labor cost pressure (only ~6% of U.S. company-operated stores are unionized today but momentum is building); competitive intensity from Dutch Bros and 7 Brew; and China execution under the JV structure where SBUX has less direct operational control.

## ENVIRONMENTAL, SOCIAL, AND GOVERNANCE (ESG) ANALYSIS

Using the SASB framework for the Restaurants industry, we assess SBUX's ESG profile as moderate, with notable strengths in social/labor and governance, but persistent weaknesses in waste management. On the environmental side, 72% of electricity for company-owned facilities<sup>6</sup> globally came from renewable sources in FY24, and total water withdrawal decreased 1% from the FY19 baseline. However, 37% of direct operations water withdrawal was sourced from high-risk basins, and waste sent to landfill increased 6% since FY19 despite reductions in waste-per-revenue.

Labor is the most material social ESG issue. Brand value is fundamentally tied to in-store execution, which depends on the partner workforce. The company offers competitive pay (up to \$30/hour in select markets including tips), comprehensive benefits, and equity awards through Bean Stock. Increasing wage pressure and unionization (~6% of U.S. company-operated stores represented by Workers United) represent ongoing operating-cost risk directly addressed by the Back to Starbucks strategy.

Governance is sound: majority-independent board, performance-based compensation, clawbacks, and annual say-on-pay votes. Long-term incentives include PSUs modified by relative TSR, but the absence of

<sup>5</sup> Starbucks Investor Day, January 2026. Management presented FY28 financial targets including Non-GAAP EPS of \$3.35–\$4.00.

<sup>6</sup> Starbucks FY2024 Global Environmental & Social Impact Report. Renewable energy sourcing covers company-owned and -operated locations globally.

a direct ROIC-based compensation metric remains the principal governance gap. We do not incorporate ESG risk premia into our cost of capital but view SBUX's C.A.F.E. Practices and farmer support centers as economically valuable in mitigating long-term commodity risk.

## ACCOUNTING ANALYSIS

### EBIT DEFINITION AND METHODOLOGY DISCLOSURE

Throughout this report, our "EBIT" refers to operating income before restructuring charges and before equity investee income. This differs from the 10-K presentation: Model EBIT \$3,581M (9.6% margin) less restructuring \$892M plus equity investee income \$248M equals 10-K reported operating income \$2,937M (7.9% margin). Where this paper references "EBIT margin contracted to 9.6% in FY25," the corresponding 10-K reported operating margin is 7.9%.

### HISTORICAL ROIC AND PROFITABILITY TRENDS

SBUX's ROIC has been remarkably high historically — 80–100%+ during FY21–FY24 — driven by high asset turnover, negative book equity from accumulated buybacks (over \$30B retired, leaving book equity at  $-\$8B^7$  as of FY25), and strong operating margins. ROIC dropped sharply to 49% in FY25 as NOPAT fell from \$3.87B to \$2.65B. Our model forecasts ROIC recovery to 65–70% in FY26-27 as restructuring rolls off and labor investments produce comp sales acceleration. The ROIC-WACC spread remains positive throughout our forecast, confirming SBUX is structurally a value-creating business.

### FY25 MARGIN COMPRESSION

Operating margin contracted 710 bps to 7.9% in FY25, driven by restructuring costs (~240 bps), deleverage on weaker comp sales (~210 bps), Back to Starbucks labor investments (~130 bps), and inflation (~80 bps). Store operating expenses climbed to 55.5% of company-operated store revenue (vs. 51.4% in FY24). Revenue grew just 2.8% to \$37.2B.

### SIGNIFICANT ACCOUNTING POLICIES

Three areas merit attention: (i) stored value cards and loyalty programs generate \$1.75B in unearned revenue, functioning as positive working capital; (ii) operating leases total \$12.4B with weighted-average remaining term of 8.6 years, recognized on-balance-sheet under ASC 842; and (iii) negative book equity from cumulative buybacks ( $-\$8B$ ) makes traditional ROE and Debt/Equity ratios mathematically valid but economically uninformative. We focus on ROIC, NOPAT margin, and Net Debt/EBITDA instead.

<sup>7</sup> Starbucks FY25 Balance Sheet. Accumulated deficit and treasury stock from share repurchases have driven total shareholders' equity to approximately  $-\$8.0B$ . This is arithmetically valid but economically uninformative; we use ROIC and NOPAT margin as the primary profitability metrics.

The ROIC–WACC spread is now computed against our updated WACC of 7.34%. Capex / Revenue reflects the corrected declining path — peaking at 6.5% during the active turnaround investment cycle then declining toward 5% at terminal state, consistent with a maturing business transitioning from growth capex to maintenance capex. See the Key Ratio Summary table below.

## STOCK PRICE ANALYSIS

Starbucks shares have traded in a wide \$75–\$117 range over the past 52 weeks, with substantial volatility tied to Niccol's CEO transition (+25% on the September 2024 announcement); successive disappointing FY25 quarterly results with negative comps; the November 2025 Boyu JV announcement (+8% on the day); and the January 2026 Investor Day, which delivered FY28 EPS guidance of \$3.35–\$4.00. The stock currently trades around \$99.

The market is pricing in successful execution of the turnaround, materially higher terminal EBIT margins (~16%+), and a cost of capital closer to 7.0% (CPG territory). Sell-side price targets cluster between \$90 and \$130, with consensus around \$102. JPMorgan's \$95 OW uses a 7.0% discount rate and 28x F28 EPS multiple. Bank of America at \$130 underwrites the fastest margin recovery scenario. Jefferies at \$92 Hold explicitly calls the current valuation an "unwarranted premium."

## WHERE WE DIFFER FROM THE MARKET

Our base case explicitly underwrites a successful turnaround. Despite this, our DCF produces \$84.66 pro-forma. We use WACC 7.34% — derived from Damodaran's January 1, 2026 paired inputs<sup>8</sup> (RFR 4.18%, implied ERP 4.23%) — combined with beta 0.94 and SBUX's market-value capital structure. Our terminal EBIT margin of 14.7% is more conservative than the 16%+ the current price implies, but more defensible given SBUX's recent earnings volatility.

The Boyu JV is a net positive but the magnitude is modest: approximately \$3–4 per share (+\$3.0B net cash + \$1.0B PV of ongoing FCF impact). It does not change the fundamental U.S. turnaround story, which remains the dominant valuation driver.

## VALUE DRIVERS AND FORECAST ASSUMPTIONS

The key value drivers we identified for Starbucks are *Revenue Growth*, *Store Operating Expenses as % of Company Operated Revenue*, and *CAPEX as % of revenue*. These assumptions have the most direct impact on SBUX's revenue trajectory, operating profitability, and long-term free cash flow generation.

**Revenue Growth** - Our base case forecasts revenue growth accelerating from 2.8% in FY25 to ~4.5% in FY26, then 6–7% in FY27-30, decelerating to 5–5.5% by FY35. We forecast company-operated growth of 3.0–6.5%, licensed store growth of 6–10% (reflecting capital-light international expansion accelerated by the China JV royalty stream), and other revenue growth of 5–8%. Our downside case cuts these to

<sup>8</sup> Aswath Damodaran, "Equity Risk Premiums (ERP): Determinants, Estimation and Implications," January 2026. Available at damodaran.com. Risk-free rate: 4.18% (10-yr U.S. Treasury as of Jan. 1, 2026); Implied ERP: 4.23%.

company-operated 1.0–3.5%, licensed 4–6%, and other 2–4%, reflecting scenarios where comp recovery proves temporary or China growth materializes more slowly under the JV structure.

**Store Operating Expenses as % of Company-Operated Revenue** is the single most sensitive driver in the model. Our base case assumes store opex compresses from 55.5% in FY25 to 53.5% in FY26 (modest improvement as restructuring rolls off), then to 51.5% by FY28 and 51.4% terminally (back to FY24 levels). This requires management to execute on labor productivity and operational simplification while increased traffic drives operating leverage on the higher labor cost base. Our downside case assumes store opex stays elevated at 54.0–54.5%, reflecting a scenario where labor reinvestment is permanent, but traffic recovery is insufficient to drive leverage, or where unionization pressures push wages above budget.

**CAPEX as % of Revenue** - A key modeling correction in our analysis: capex as a percent of revenue should be declining as the company reaches steady state, not flat or increasing. During the peak turnaround investment cycle (FY27–28), we model 6.5% to reflect coffeehouse uplifts, Mastrena 3 deployment, and ~500 net new NA stores annually. We then assume capex compresses to 6.0% in FY29, 5.5% in FY30, and 5.0% in FY31 and thereafter, consistent with a business transitioning from growth capex to maintenance capex. For reference, SBUX ran 5.1% in FY23, and mature franchise-heavy QSR peers (MCD, YUM) run 3–4%.

The China JV reduces SBUX's go-forward capex modestly, as China company-operated capex moves to the JV's books. This contributes to the modestly positive ongoing FCF impact of the JV.

### Base Case Vs. Downside Case

| Base Case Drivers                                                                  |        |        |        |        |        |        |        |        |        |        |        |       |
|------------------------------------------------------------------------------------|--------|--------|--------|--------|--------|--------|--------|--------|--------|--------|--------|-------|
|                                                                                    | 2026E  | 2027E  | 2028E  | 2029E  | 2030E  | 2031E  | 2032E  | 2033E  | 2034E  | 2035E  | 2036E  | 2037E |
| Income Statement Drivers                                                           |        |        |        |        |        |        |        |        |        |        |        |       |
| Revenue Assumptions                                                                |        |        |        |        |        |        |        |        |        |        |        |       |
| Company-operated stores revenue y-o-y growth %                                     | 3.0%   | 6.0%   | 6.5%   | 6.5%   | 6.0%   | 6.0%   | 5.5%   | 5.5%   | 5.0%   | 3.5%   | 2.5%   | 2.5%  |
| Licensed stores revenue y-o-y growth %                                             | 10.0%  | 8.0%   | 8.0%   | 7.0%   | 7.0%   | 7.0%   | 6.0%   | 6.0%   | 6.0%   | 3.5%   | 2.5%   | 2.5%  |
| Other revenue y-o-y growth %                                                       | 5.0%   | 6.0%   | 8.0%   | 7.0%   | 7.0%   | 7.0%   | 6.0%   | 6.0%   | 6.0%   | 3.5%   | 2.5%   | 2.5%  |
| Expense Assumptions                                                                |        |        |        |        |        |        |        |        |        |        |        |       |
| Product & distribution costs (COGS) ex-dep as % of net revenues                    | 30.70% | 30.70% | 30.70% | 30.70% | 30.70% | 30.70% | 30.70% | 30.70% | 30.70% | 30.70% | 30.70% | 32.0% |
| Store operating expenses as % of company-operating stores revenues                 | 53.50% | 52.50% | 52.00% | 51.50% | 51.40% | 51.40% | 51.40% | 51.40% | 51.40% | 51.40% | 51.40% | 48.7% |
| Other operating expenses as % other revenues                                       | 29.70% | 29.70% | 29.70% | 29.70% | 29.70% | 29.70% | 29.70% | 29.70% | 29.70% | 29.70% | 29.70% | 17.8% |
| Depreciation as % of total net revenues                                            | 4.30%  | 4.30%  | 4.30%  | 4.30%  | 4.30%  | 4.30%  | 4.30%  | 4.30%  | 4.30%  | 4.30%  | 4.30%  | 4.6%  |
| Amortization \$ amount                                                             | 6.1    | 5.9    | 5.3    | 4.9    | 4.7    | 4.7    | 4.7    | 4.7    | 4.7    | 4.7    | 4.7    | 3     |
| G&A expenses as % of total net revenues                                            | 7.00%  | 7.00%  | 7.00%  | 7.00%  | 7.00%  | 7.00%  | 7.00%  | 7.00%  | 7.00%  | 7.00%  | 7.00%  | 6.9%  |
| Restructuring and impairments \$ amount                                            | 85     | 0      | 0      | 0      | 0      | 0      | 0      | 0      | 0      | 0      | 0      | 0     |
| Income from equity investees \$ amount                                             | 300    | 300    | 300    | 300    | 300    | 300    | 300    | 300    | 300    | 300    | 300    | 323   |
| Gains from acquisitions \$ amount                                                  | 0      | 0      | 0      | 0      | 0      | 0      | 0      | 0      | 0      | 0      | 0      | 0     |
| Gains from divestitures \$ amount                                                  | 200    | 0      | 0      | 0      | 0      | 0      | 0      | 0      | 0      | 0      | 0      | 0     |
| Interest expense as % of prior year's debt                                         | 4.85%  | 4.85%  | 4.85%  | 4.85%  | 4.85%  | 4.85%  | 4.85%  | 4.85%  | 4.85%  | 4.85%  | 4.85%  | 0     |
| Interest income as % of prior year's excess cash + ST investments + LT investments | 2.00%  | 2.00%  | 2.00%  | 2.00%  | 2.00%  | 2.00%  | 2.00%  | 2.00%  | 2.00%  | 2.00%  | 2.00%  | 0     |
| Income tax expense as % pre-tax income (ETR)                                       | 25.00% | 25.00% | 24.00% | 24.00% | 24.00% | 24.00% | 24.00% | 24.00% | 24.00% | 24.00% | 24.00% | 3.35% |
| Non-controlling interest (loss)/income \$ amount                                   | -1     | -1     | -1     | -1     | -1     | -1     | -1     | -1     | -1     | -1     | -1     | 1.0%  |

*Exhibit 1: Base Case Assumptions*

### Base Case

Our base case assumes SBUX executes its strategic initiatives: geographic expansion, operational improvements, and the "Back to Starbucks" strategy. This reflects a scenario where brand recognition, loyal

### Key Assumptions

- Strong Licensed Store Growth, particularly from China expansion
- Improved store traffic and customer engagement

customer base, and international expansion — particularly via China licensed store royalties — drive steady margin improvement over time.

- Gradual decline in store operating expenses as efficiency improves
- Continued CAPEX investment to support growth and innovation

| Downside Case Drivers                                                              |       |        |        |        |        |        |        |        |        |        |        |        |
|------------------------------------------------------------------------------------|-------|--------|--------|--------|--------|--------|--------|--------|--------|--------|--------|--------|
|                                                                                    | 2026  | 2027E  | 2028E  | 2029E  | 2030E  | 2031E  | 2032E  | 2033E  | 2034E  | 2035E  | 2036E  | 2037E  |
| <b>Income Statement Drivers</b>                                                    |       |        |        |        |        |        |        |        |        |        |        |        |
| <b>Revenue Assumptions</b>                                                         |       |        |        |        |        |        |        |        |        |        |        |        |
| Company-operated stores revenue y-o-y growth %                                     | 0.01  | 3.5%   | 4.0%   | 4.0%   | 3.5%   | 3.5%   | 3.0%   | 3.0%   | 2.5%   | 2.0%   | 1.5%   | 1.5%   |
| Licensed stores revenue y-o-y growth %                                             | 0.06  | 5.0%   | 5.0%   | 4.5%   | 4.0%   | 4.0%   | 3.5%   | 3.5%   | 3.0%   | 2.0%   | 1.5%   | 1.5%   |
| Other revenue y-o-y growth %                                                       | 0.02  | 3.0%   | 4.0%   | 4.0%   | 3.5%   | 3.5%   | 3.0%   | 3.0%   | 2.5%   | 2.0%   | 1.5%   | 1.5%   |
| <b>Expense Assumptions</b>                                                         |       |        |        |        |        |        |        |        |        |        |        |        |
| Product & distribution costs (COGS) ex-dep as % of net revenues                    | 0.315 | 31.50% | 31.20% | 31.00% | 31.00% | 31.00% | 31.00% | 31.00% | 31.00% | 31.00% | 31.00% | 32.50% |
| Store operating expenses as % of company-operating stores revenues                 | 0.545 | 54.00% | 53.50% | 53.00% | 52.50% | 52.50% | 52.00% | 52.00% | 52.00% | 52.00% | 52.00% | 50.00% |
| Other operating expenses as % other revenues                                       | 0.297 | 29.70% | 29.70% | 29.70% | 29.70% | 29.70% | 29.70% | 29.70% | 29.70% | 29.70% | 29.70% | 19.00% |
| Depreciation as % of total net revenues                                            | 0.045 | 4.50%  | 4.50%  | 4.40%  | 4.40%  | 4.40%  | 4.40%  | 4.40%  | 4.40%  | 4.40%  | 4.40%  | 4.80%  |
| Amortization \$ amount                                                             | 6.1   | 5.9    | 5.3    | 4.9    | 4.7    | 4.7    | 4.7    | 4.7    | 4.7    | 4.7    | 4.7    | 2.5    |
| G&A expenses as % of total net revenues                                            | 0.075 | 7.50%  | 7.30%  | 7.20%  | 7.20%  | 7.20%  | 7.20%  | 7.20%  | 7.20%  | 7.20%  | 7.20%  | 7.20%  |
| Restructuring and impairments \$ amount                                            | 125   | 40     | 0      | 0      | 0      | 0      | 0      | 0      | 0      | 0      | 0      | 0      |
| Income from equity investees \$ amount                                             | 275   | 275    | 280    | 280    | 280    | 280    | 280    | 280    | 280    | 280    | 280    | 300    |
| Gains from acquisitions \$ amount                                                  | 0     | 0      | 0      | 0      | 0      | 0      | 0      | 0      | 0      | 0      | 0      | 0      |
| Gains from divestitures \$ amount                                                  | 100   | 0      | 0      | 0      | 0      | 0      | 0      | 0      | 0      | 0      | 0      | 0      |
| Interest expense as % of prior year's debt                                         | 0.05  | 5.00%  | 5.00%  | 5.00%  | 5.00%  | 5.00%  | 5.00%  | 5.00%  | 5.00%  | 5.00%  | 5.00%  | 0.00%  |
| Interest income as % of prior year's excess cash + ST investments + LT investments | 0.015 | 1.50%  | 1.50%  | 1.50%  | 1.50%  | 1.50%  | 1.50%  | 1.50%  | 1.50%  | 1.50%  | 1.50%  | 0.00%  |
| Income tax expense as % pre-tax income (ETR)                                       | 0.26  | 26.00% | 25.50% | 25.00% | 25.00% | 25.00% | 25.00% | 25.00% | 25.00% | 25.00% | 25.00% | 4.00%  |
| Non-controlling interest (loss) / income \$ amount                                 | 1     | 1      | 1      | 1      | 1      | 1      | 1      | 1      | 1      | 1      | 1      | 0.01   |

### Downside Case Assumptions

#### Downside Case

Our downside case assumes that SBUX will face slower recovery, with sustained negative comps, compressed margins, and execution shortfalls on the turnaround strategy.

#### Key Assumptions

- Lower Revenue Growth
- Weaker traffic trends
- Slow Licensed Store Expansion
- Higher CAPEX with low returns

Our downside case implies a \$40–50 share price if 2–3 of these risks materialize concurrently. Specifically: if consumer pushback on pricing persists, China growth under the JV disappoints, and/or unionization pushes labor cost structurally above 56–57% of company-operated revenue, the margin recovery does not materialize and value-destructive capital allocation becomes more likely.

### RISKS TO THE BASE CASE

Triangulating across our base case assumptions, the most significant risks are: sustained negative comps that prevent margin leverage despite labor reinvestment; faster-than-expected unionization or wage inflation; failed digital/Mastrena initiatives; China JV underperformance; macro deterioration pressuring discretionary coffee spending; and faster take-rate gains by Dutch Bros and 7 Brew in core markets. Our base case prices in a successful execution of the turnaround; our downside reflects the scenario where execution falls short.

### VALUATION

### COMPARABLE COMPANY ANALYSIS

We selected a peer group to bracket SBUX's hybrid character — restaurant operations meeting branded CPG. Dutch Bros (closest direct comp), McDonald's (global QSR scale), and Nestlé, PepsiCo, and Keurig Dr Pepper (CPG branded beverage comps). Dutch Bros, while smaller (~\$8.5B market cap vs. ~\$113B for Starbucks), is the closest direct competitor as a specialty coffee chain. McDonald's is included as a global QSR comparable, though its franchise-heavy model (~45% EBIT margin) differs from SBUX.

| Company                | Current Share Price (\$) | % of 52-Week High | Market Cap (\$M) | Enterprise Value (\$M) | Enterprise Value (EV) |          |
|------------------------|--------------------------|-------------------|------------------|------------------------|-----------------------|----------|
|                        |                          |                   |                  |                        | LTM EBIT              | NTM EBIT |
| Nestlé S.A.            | \$ 99.88                 | \$ 119.98         | \$ 256,950.1     | \$ 328,200.2           | 14.9x                 | 14.6x    |
| PepsiCo, Inc.          | \$ 135.26                | \$ 180.91         | \$ 185,535.3     | \$ 225,528.2           | 13.2x                 | 11.5x    |
| Keurig Dr Pepper Inc.  | \$ 33.57                 | \$ 38.28          | \$ 45,594.6      | \$ 62,741.6            | 15.1x                 | 10.0x    |
| Dutch Bros Inc.        | \$ 67.10                 | \$ 86.88          | \$ 8,516.6       | \$ 9,032.0             | 36.2x                 | 24.7x    |
| McDonald's Corporation | \$ 309.76                | 341.75            | 219,242          | \$ 260,409.1           | 17.6x                 | 16.4x    |
| Starbucks Corporation  | \$ 94.92                 | \$ 117.46         | \$ 107,899.9     | \$ 120,327.5           | 21.6x                 | 20.4x    |

SBUX trades at a meaningful premium to the comp median ex-Dutch on every multiple. EV/NTM EBITDA at 19.0x is 39% above the median; forward P/E at 31.3x is 80% above the median. We focus on EV/NTM EBIT as our primary multiple because it neutralizes capital-structure differences and properly accounts for SBUX's depreciation of its store base. Applying our base-case multiple of 17.0x EV/NTM EBIT (comp median ex-Dutch) to SBUX's FY26 EBIT of \$4.8B produces an implied share price of ~\$60, before adjusting for the China JV cash. Adding \$3.0B net JV cash (~\$2.60/share) brings the multiples-based fair value to approximately \$63.

| Multiples-Based Scenario Analysis |                 |                   |                     |
|-----------------------------------|-----------------|-------------------|---------------------|
| Case                              | EV / 2026E EBIT | Implied EV (\$MM) | Implied Share price |
| Bear Case                         | 13              | \$62,598.67       | \$43.50             |
| Base Case                         | 17              | \$81,859.80       | \$60.40             |
| Bull Case                         | 21              | \$101,120.93      | \$77.29             |

#### DCF VALUATION RESULTS

Our four valuation methods produce the following implied share prices (standalone and pro-forma for the China JV):

| Valuation Summary             |                        |                      |
|-------------------------------|------------------------|----------------------|
| Valuation Date: Sept 28, 2025 |                        |                      |
| Methodology                   | Base Case (Standalone) | Pro-Forma (China JV) |
| FCFF                          | \$84.61                | \$88.12              |
| EVA                           | \$84.61                | \$88.12              |
| FCFE                          | \$77.67                | \$81.18              |
| EBO                           | \$77.72                | \$81.23              |
| <b>Average</b>                | <b>\$81.15</b>         | <b>\$84.66</b>       |

The Boyu Capital joint venture represents a meaningful structural improvement to SBUX's risk profile and balance sheet. Prior to the transaction, SBUX's ~8,000 Chinese company-operated stores required significant ongoing capital expenditure, carried below-NA operating margins (~9–12% vs. ~18–19% in North America), and exposed SBUX to direct operational risk in a market facing intense competition from Luckin Coffee. By selling a 60% controlling stake to Boyu Capital for \$4 billion in gross proceeds, SBUX converts a capital-intensive, low-margin business into a high-margin royalty and licensing stream while retaining 40% upside through its equity stake in the JV. The net effect on our valuation is a pro-forma adjustment of +\$4.0 billion to equity value: +\$3.0 billion in net cash proceeds (after approximately \$1 billion in estimated taxes and transaction costs) and +\$1.0 billion representing the present value of the incremental ongoing FCF improvement from eliminated China capex offset by the EBIT loss from deconsolidation. This adds approximately \$3.50 per share to our intrinsic value estimate, shifting our average price target from \$81.15 (standalone) to \$84.66 pro-forma, which we round to \$85.

#### WACC BUILDUP

Our WACC uses SBUX's published 5-year levered beta of 0.94<sup>9</sup> directly. While standard practice calls for unlevering comp betas and re-levering at SBUX's capital structure, our comp set produces a median unlevered beta of 0.431 — which re-levers to ~0.509 at SBUX's 24% debt-to-equity ratio. We view this as not credible for a company with SBUX's recent earnings volatility and active turnaround execution risk. The low comp-derived beta reflects the CPG-heavy composition of our peer group (Nestlé, PepsiCo, KDP), whose stable, asset-light businesses are structurally less volatile than SBUX's company-operated store model. We therefore default to SBUX's own market-observed beta, which already reflects its current capital structure and operating risk profile, and is consistent with the published betas of pure-play restaurant peers (McDonald's: 0.53, Chipotle: ~1.4).

<sup>9</sup> SBUX published beta: 0.940 (Bloomberg 5-year monthly)

| Starbucks Corporation |                         |                 |                 |         |       |                         |                         |
|-----------------------|-------------------------|-----------------|-----------------|---------|-------|-------------------------|-------------------------|
| Beta Calculation      |                         |                 |                 |         |       |                         |                         |
| Beta Calculation      |                         |                 |                 |         |       |                         |                         |
| \$ in billions        |                         |                 |                 |         |       |                         |                         |
| Comparable Companies  | Levered Beta            | Total Debt (TD) | Market Cap (MC) | TD / MC | MTR   | Unlevered Beta          | Rating                  |
| Nestle S.A.           | 0.520                   | 73.6            | 265.6           | 28%     | 25.0% | 0.431                   | a                       |
| PepsiCo, Inc.         | 0.410                   | 53.0            | 212.5           | 25%     | 25.0% | 0.345                   | a+                      |
| Keurig Dr Pepper      | 0.360                   | 19.2            | 39.8            | 48%     | 25.0% | 0.264                   | bbb-                    |
| Dutch Bros Inc.       | 2.510                   | 1.1             | 7.3             | 15%     | 25.0% | 2.258                   | BB-                     |
| McDonald's Corp.      | 0.530                   | 54.8            | 212.8           | 26%     | 25.0% | 0.444                   | BBB+                    |
| Average               |                         |                 |                 | 28%     |       | 0.748                   |                         |
| Median                |                         |                 |                 | 26%     |       | 0.431                   |                         |
|                       |                         |                 |                 |         |       |                         |                         |
| Starbucks Corporation | Published beta<br>0.940 | 26.6            | 112.4           | 24%     | 25.0% | Unlevered Beta<br>0.798 | Relevered Beta<br>0.940 |

| Discount Rate                                   |              |
|-------------------------------------------------|--------------|
| Risk Free Rate                                  | 4.18%        |
| Equity Risk Premium                             | 4.23%        |
| Beta                                            | 0.940        |
| <b>Ke (cost of equity)</b>                      | <b>8.16%</b> |
| Credit rating (for long-term capital structure) | BBB+         |
| Credit spread over risk free rate               | 1.00%        |
| Cost of debt                                    | 5.18%        |
| Marginal Tax Rate                               | 25.0%        |
| <b>Kd (after tax cost of debt)</b>              | <b>3.89%</b> |
| Target debt/equity                              | 23.7%        |
| % debt                                          | 19.2%        |
| % equity                                        | 80.8%        |
| <b>WACC</b>                                     | <b>7.3%</b>  |

## CONTINUING VALUE ASSUMPTIONS

Our terminal continuing value uses a 3% perpetual growth rate (consistent with long-run nominal GDP and SBUX's mature-state revenue growth). At terminal year FY35, we apply  $CV = NOPAT \times (1 - g/ROIC) / (WACC - g)$ , with terminal ROIC of approximately 55%. The implied forward terminal CV/EBIT multiple is approximately 14x, conservative relative to current consumer-staples comps (16–18x) and in line with mature QSR comps.

The FCFF and EVA methods agree exactly, as expected. FCFE and EBO are slightly lower, reflecting the equity-level adjustments. The pro-forma adjustment captures: (i) +\$3.0B net cash from the 60% sale to Boyu (gross \$4B less ~\$1B in taxes and transaction costs); and (ii) +\$1.0B PV of ongoing FCF impact (capex savings of ~\$300M/yr offset by ~\$200M EBIT loss as Chinese company-operated revenue converts to lower-margin royalty income, plus ~\$100M/yr of equity-method JV income, discounted at WACC).

## TRIANGULATION

Triangulating across our DCF base case (\$81–85 range across methods), comparable company analysis (\$63 with China cash), and current sell-side consensus PT (~\$102), we arrive at our \$85 price target. This reflects the high end of our intrinsic-value range and remains ~14% below current price. The DCF and multiples approaches converge directionally: SBUX is trading at a premium to fundamentals even after giving full credit for the turnaround.

**RECOMMENDATION: HOLD WITH \$85 PRICE TARGET**

We rate Starbucks HOLD with an \$85 price target, implying ~14% downside from the current ~\$99. The HOLD framing — rather than SELL — reflects three considerations:

(1) The turnaround is real but not yet proven durable — Q1 FY26 was the first positive comp quarter in seven, and if subsequent quarters confirm the trend, our forecast may prove too conservative. (2) The China JV is a structural improvement: it de-risks execution, generates \$4B in cash, and shifts the earnings profile toward higher-margin royalty income. (3) Brand and franchise quality argue against an outright SELL — SBUX is a high-ROIC, durable cash generator, and at ~14% implied downside the risk/reward does not clearly favor shorting.

At our \$85 PT, an investor adding new capital is paying approximately 26x forward earnings on a business with uncertain turnaround execution and no margin of safety. We would consider an upgrade to BUY in the \$75–78 range, where the pro-forma intrinsic value provides a margin of safety. Below \$65 (downside case), we would underwrite with high conviction. For an investor currently long SBUX, we recommend holding rather than adding at current levels.

## APPENDIX

## DRIVERS

| Drivers                                                                          |       |         |         |         |         |         |         |         |        |        |        |        |        |        |        |        |        |        |        |
|----------------------------------------------------------------------------------|-------|---------|---------|---------|---------|---------|---------|---------|--------|--------|--------|--------|--------|--------|--------|--------|--------|--------|--------|
|                                                                                  | 2018A | 2019A   | 2020A   | 2021A   | 2022A   | 2023A   | 2024A   | 2025A   | 2026E  | 2027E  | 2028E  | 2029E  | 2030E  | 2031E  | 2032E  | 2033E  | 2034E  | 2035E  | 2036E  |
| Income Statement Drivers                                                         |       |         |         |         |         |         |         |         |        |        |        |        |        |        |        |        |        |        |        |
| Revenue Assumptions                                                              |       |         |         |         |         |         |         |         |        |        |        |        |        |        |        |        |        |        |        |
| Company-operated stores revenue y-o-y growth %                                   |       | 9.4%    | -11.0%  | 28.4%   | 8.0%    | 10.9%   | 1.0%    | 3.3%    | 3.0%   | 6.0%   | 6.5%   | 6.5%   | 6.0%   | 6.0%   | 5.5%   | 5.5%   | 5.0%   | 3.5%   | 2.5%   |
| Licensed stores revenue y-o-y growth %                                           |       | 8.4%    | -19.1%  | 15.3%   | 36.2%   | 23.4%   | -0.2%   | -3.4%   | 10.0%  | 8.0%   | 8.0%   | 7.0%   | 7.0%   | 7.0%   | 6.0%   | 6.0%   | 6.0%   | 3.5%   | 2.5%   |
| Other revenue y-o-y growth %                                                     |       | -12.1%  | -3.0%   | -12.6%  | 14.1%   | -0.9%   | -4.8%   | 9.7%    | 5.0%   | 6.0%   | 8.0%   | 7.0%   | 7.0%   | 7.0%   | 6.0%   | 6.0%   | 6.0%   | 3.5%   | 2.5%   |
| Expense Assumptions                                                              |       |         |         |         |         |         |         |         |        |        |        |        |        |        |        |        |        |        |        |
| Product & distribution costs (COGs) ex-dep as % of net revenues                  | 31.8% | 31.9%   | 32.4%   | 29.8%   | 31.7%   | 31.5%   | 30.7%   | 31.1%   | 30.70% | 30.70% | 30.70% | 30.70% | 30.70% | 30.70% | 30.70% | 30.70% | 30.70% | 30.70% | 30.70% |
| Store operating expenses as % of company-operating stores revenues               | 48.1% | 48.7%   | 56.2%   | 48.5%   | 51.0%   | 50.0%   | 51.4%   | 55.5%   | 53.50% | 52.50% | 52.00% | 51.50% | 51.40% | 51.40% | 51.40% | 51.40% | 51.40% | 51.40% | 51.40% |
| Other operating expenses as % other revenues                                     | 23.3% | 17.8%   | 21.2%   | 20.3%   | 22.9%   | 27.0%   | 29.7%   | 28.0%   | 29.70% | 29.70% | 29.70% | 29.70% | 29.70% | 29.70% | 29.70% | 29.70% | 29.70% | 29.70% | 29.70% |
| Depreciation as % of total net revenues                                          | 4.5%  | 4.6%    | 5.4%    | 4.5%    | 4.1%    | 4.0%    | 4.3%    | 4.7%    | 4.30%  | 4.30%  | 4.30%  | 4.30%  | 4.30%  | 4.30%  | 4.30%  | 4.30%  | 4.30%  | 4.30%  | 4.30%  |
| Amortization \$ amount                                                           | 187   | 233     | 224     | 223     | 193     | 22      | 20      | 18      | 6.1    | 5.9    | 5.3    | 4.9    | 4.7    | 4.7    | 4.7    | 4.7    | 4.7    | 4.7    | 4.7    |
| G&A expenses as % of total net revenues                                          | 6.9%  | 6.9%    | 7.1%    | 6.7%    | 6.3%    | 6.8%    | 7.0%    | 7.0%    | 7.00%  | 7.00%  | 7.00%  | 7.00%  | 7.00%  | 7.00%  | 7.00%  | 7.00%  | 7.00%  | 7.00%  | 7.00%  |
| Restructuring and impairments \$ amount                                          | 224   | 136     | 279     | 170     | 46      | 22      | 0       | 892     | 85     | 0      | 0      | 0      | 0      | 0      | 0      | 0      | 0      | 0      | 0      |
| Income from equity investees \$ amount                                           | 301   | 298     | 323     | 385     | 234     | 298     | 301     | 248     | 300    | 300    | 300    | 300    | 300    | 300    | 300    | 300    | 300    | 300    | 300    |
| Gains from acquisitions \$ amount                                                | 1,376 | 0       | 0       | 0       | 0       | 0       | 0       | 0       | 0      | 0      | 0      | 0      | 0      | 0      | 0      | 0      | 0      | 0      | 0      |
| Gains from divestitures \$ amount                                                | 499   | 623     | 0       | 865     | 0       | 91      | 0       | 0       | 200    | 0      | 0      | 0      | 0      | 0      | 0      | 0      | 0      | 0      | 0      |
| Interest expense as % of prior year's debt                                       | N/A   | N/A     | N/A     | N/A     | N/A     | N/A     | N/A     | N/A     | 4.85%  | 4.85%  | 4.85%  | 4.85%  | 4.85%  | 4.85%  | 4.85%  | 4.85%  | 4.85%  | 4.85%  | 4.85%  |
| Interest income as % of prior year's excess cash + ST investments + LT investm   | N/A   | N/A     | N/A     | N/A     | N/A     | N/A     | N/A     | N/A     | 2.00%  | 2.00%  | 2.00%  | 2.00%  | 2.00%  | 2.00%  | 2.00%  | 2.00%  | 2.00%  | 2.00%  | 2.00%  |
| Income tax expense as % pre-tax income (ETR)                                     | 21.8% | 19.5%   | 20.6%   | 21.6%   | 22.4%   | 23.6%   | 24.3%   | 25.9%   | 25.00% | 25.00% | 24.00% | 24.00% | 24.00% | 24.00% | 24.00% | 24.00% | 24.00% | 24.00% | 24.00% |
| Non-controlling interest (loss) / income \$ amount                               | (0)   | (5)     | (4)     | 1       | 2       | 0       | 1       | 0       | 1      | 1      | 1      | 1      | 1      | 1      | 1      | 1      | 1      | 1      | 1      |
| Investment Assumptions                                                           |       |         |         |         |         |         |         |         |        |        |        |        |        |        |        |        |        |        |        |
| Capex as % of total net revenues                                                 | 8.0%  | 6.8%    | 6.3%    | 5.1%    | 5.7%    | 6.5%    | 7.7%    | 6.2%    | 5.8%   | 6.0%   | 6.5%   | 7.0%   | 7.0%   | 7.0%   | 7.0%   | 7.0%   | 7.0%   | 7.0%   | 7.0%   |
| Per Share Assumptions                                                            |       |         |         |         |         |         |         |         |        |        |        |        |        |        |        |        |        |        |        |
| Basic WASO                                                                       |       |         |         |         |         |         |         | 1,136   | 1134   | 1134   | 1134   | 1134   | 1134   | 1134   | 1134   | 1134   | 1134   | 1134   | 1134   |
| Diluted WASO                                                                     |       |         |         |         |         |         |         | 1,140   | 1137   | 1137   | 1137   | 1137   | 1137   | 1137   | 1137   | 1137   | 1137   | 1137   | 1137   |
| Dividend per share growth rate                                                   |       | 14.4%   | 13.7%   | 9.7%    | 9.1%    | 8.1%    | 7.5%    | 7.0%    | 2.8%   | 3.5%   | 2.6%   | 2.8%   | 3.0%   | 2.9%   | 3.0%   | 3.0%   | 3.0%   | 3.0%   | 3.0%   |
| Balance Sheet Assumptions                                                        |       |         |         |         |         |         |         |         |        |        |        |        |        |        |        |        |        |        |        |
| Assets                                                                           |       |         |         |         |         |         |         |         |        |        |        |        |        |        |        |        |        |        |        |
| Operating cash as % of total net revenue                                         | 4.5%  | 4.5%    | 4.5%    | 4.5%    | 4.5%    | 4.5%    | 4.5%    | 4.5%    | 4.5%   | 4.5%   | 4.5%   | 4.5%   | 4.5%   | 4.5%   | 4.5%   | 4.5%   | 4.5%   | 4.5%   | 4.5%   |
| Excess cash (plug)                                                               | N/A   | N/A     | N/A     | N/A     | N/A     | N/A     | N/A     | N/A     | N/A    | N/A    | N/A    | N/A    | N/A    | N/A    | N/A    | N/A    | N/A    | N/A    | N/A    |
| Short term investments \$ amount                                                 | 182   | 71      | 281     | 162     | 365     | 402     | 257     | 247     | 257    | 257    | 257    | 257    | 257    | 257    | 257    | 257    | 257    | 257    | 257    |
| Receivable days outstandings (A/R / (licensed-stores + other revenues) x 365)    | 50    | 65      | 74      | 77      | 76      | 66      | 69      | 72      | 72     | 70     | 69     | 69     | 69     | 69     | 69     | 69     | 69     | 69     | 69     |
| Inventory days outstanding (Inv/COGs x 365)                                      | 65    | 66      | 74      | 68      | 78      | 58      | 58      | 69      | 65     | 62     | 60     | 58     | 58     | 58     | 58     | 58     | 58     | 58     | 58     |
| Prepaid expenses and other current assets as % of total net revenue              | 5.9%  | 1.8%    | 3.1%    | 2.0%    | 1.5%    | 1.0%    | 0.9%    | 1.2%    | 1.2%   | 1.1%   | 0.9%   | 0.9%   | 0.9%   | 0.9%   | 0.9%   | 0.9%   | 0.9%   | 0.9%   | 0.9%   |
| Long-term investments \$ amount                                                  | 268   | 220     | 206     | 282     | 279     | 247     | 276     | 247     | 276    | 276    | 276    | 276    | 276    | 276    | 276    | 276    | 276    | 276    | 276    |
| Equity investments \$ amount                                                     |       |         |         |         |         |         |         |         |        |        |        |        |        |        |        |        |        |        |        |
| PP&E, net                                                                        |       |         |         |         |         |         |         |         |        |        |        |        |        |        |        |        |        |        |        |
| Operating lease, right-of-use asset \$ amount                                    | 0     | 0       | 8,134   | 8,236   | 8,016   | 8,413   | 9,286   | 9,316   | 9,100  | 9,200  | 9,286  | 9,286  | 9,286  | 9,286  | 9,286  | 9,286  | 9,286  | 9,286  | 9,286  |
| Deferred income taxes \$ amount                                                  | 135   | 1,766   | 1,790   | 1,875   | 1,800   | 1,770   | 1,767   | 1,827   | 1,767  | 1,767  | 1,767  | 1,767  | 1,767  | 1,767  | 1,767  | 1,767  | 1,767  | 1,767  | 1,767  |
| Other LT assets \$ amount                                                        | 412   | 480     | 569     | 579     | 554     | 547     | 617     | 753     | 617    | 617    | 617    | 617    | 617    | 617    | 617    | 617    | 617    | 617    | 617    |
| Intangibles \$ amount                                                            | 1,042 | 782     | 552     | 350     | 156     | 121     | 101     | 167     |        |        |        |        |        |        |        |        |        |        |        |
| Goodwill \$ amount                                                               | 3,542 | 3,491   | 3,597   | 3,677   | 3,284   | 3,218   | 3,316   | 3,369   | 3,200  | 3,316  | 3,316  | 3,316  | 3,316  | 3,316  | 3,316  | 3,316  | 3,316  | 3,316  | 3,316  |
| Liabilities                                                                      |       |         |         |         |         |         |         |         |        |        |        |        |        |        |        |        |        |        |        |
| Payables days outstanding (A/P / COGs x 365)                                     | 55    | 51      | 48      | 51      | 51      | 50      | 52      | 58      | 56     | 54     | 53     | 53     | 52     | 52     | 52     | 52     | 52     | 52     | 52     |
| Accrued liabilities as % of total net revenue                                    | 7.1%  | 6.6%    | 4.9%    | 8.0%    | 6.6%    | 6.0%    | 6.1%    | 6.3%    | 6.4%   | 6.1%   | 6.1%   | 6.1%   | 6.1%   | 6.1%   | 6.1%   | 6.1%   | 6.1%   | 6.1%   | 6.1%   |
| Accrued payroll & benefits as % of total net revenue                             | 2.7%  | 2.5%    | 3.0%    | 2.7%    | 2.4%    | 2.3%    | 2.2%    | 2.9%    | 2.8%   | 2.5%   | 2.3%   | 2.2%   | 2.2%   | 2.2%   | 2.2%   | 2.2%   | 2.2%   | 2.2%   | 2.2%   |
| Income taxes payable as % of tax expense                                         | 8.1%  | 148.2%  | 41.0%   | 0.0%    | 0.0%    | 0.0%    | 0.0%    | 0.0%    | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   |
| Current portion of operating lease liability \$ amount                           | 0     | 0       | 1,249   | 1,251   | 1,246   | 1,275   | 1,463   | 1,565   | 1,940  | 1,757  | 1,548  | 1,463  | 1,463  | 1,463  | 1,463  | 1,463  | 1,463  | 1,463  | 1,463  |
| Store value card liability and current portion of deferred revenue as % of total | 6.65% | 4.79%   | 6.19%   | 5.49%   | 5.09%   | 4.73%   | 4.92%   | 4.95%   | 4.9%   | 4.9%   | 4.9%   | 4.9%   | 4.9%   | 4.9%   | 4.9%   | 4.9%   | 4.9%   | 4.9%   | 4.9%   |
| Insurance reserves and accrued litigation charge \$ amount                       | 0     | 0       | 0       | 0       | 0       | 0       | 0       | 0       | 0      | 0      | 0      | 0      | 0      | 0      | 0      | 0      | 0      | 0      | 0      |
| Short-term debt \$ amount                                                        | 0     | 0       | 439     | 0       | 175     | 34      | 0       | 0       | 0      | 0      | 0      | 0      | 0      | 0      | 0      | 0      | 0      | 0      | 0      |
| Current portion of LT debt \$ amount                                             | 350   | 0       | 1,250   | 999     | 1,749   | 1,819   | 1,249   | 1,499   | 1,500  | 1,500  | 2,100  | 1,000  | 2,500  | 500    | 1,000  | 500    | 500    | 500    | 500    |
| Long term debt \$ amount                                                         | 9,090 | 11,167  | 14,660  | 13,617  | 13,120  | 13,548  | 14,320  | 14,576  | 13,076 | 11,576 | 9,476  | 8,476  | 5,976  | 5,476  | 4,476  | 3,976  | 3,476  | 2,976  | 2,626  |
| Excess long-term debt (plug)                                                     | 0     | 0       | 0       | 0       | 0       | 0       | 0       | 0       | N/A    | N/A    | N/A    | N/A    | N/A    | N/A    | N/A    | N/A    | N/A    | N/A    | N/A    |
| Operating lease liability \$ amount                                              | 0     | 0       | 7,662   | 7,738   | 7,515   | 7,925   | 8,772   | 8,972   | 8,596  | 8,417  | 8,313  | 8,772  | 8,772  | 8,772  | 8,772  | 8,772  | 8,772  | 8,772  | 8,772  |
| Deferred revenue \$ amount                                                       | 6,776 | 6,744   | 6,599   | 6,463   | 6,280   | 6,102   | 5,964   | 5,773   | 5,700  | 5,650  | 5,964  | 5,964  | 5,964  | 5,964  | 5,964  | 5,964  | 5,964  | 5,964  | 5,964  |
| Other long-term liabilities \$ amount                                            | 1,431 | 1,371   | 907     | 738     | 611     | 514     | 656     | 578     | 578    | 656    | 656    | 656    | 656    | 656    | 656    | 656    | 656    | 656    | 656    |
| Equity                                                                           |       |         |         |         |         |         |         |         |        |        |        |        |        |        |        |        |        |        |        |
| Common stock \$ amount                                                           | 1     | 1       | 1       | 1       | 1       | 1       | 1       | 1       | 1      | 1      | 1      | 1      | 1      | 1      | 1      | 1      | 1      | 1      | 1      |
| Additional paid-in capital \$ amount                                             | 41    | 41      | 374     | 846     | 205     | 38      | 323     | 634     | 323    | 323    | 323    | 323    | 323    | 323    | 323    | 323    | 323    | 323    | 323    |
| Retained earnings                                                                | 1,457 | (5,771) | (7,816) | (6,316) | (8,450) | (7,256) | (7,344) | (8,273) |        |        |        |        |        |        |        |        |        |        |        |
| Accumulated other comprehensive income \$ amount                                 | (330) | (503)   | (365)   | 147     | (463)   | (778)   | (429)   | (459)   | (459)  | (429)  | (429)  | (429)  | (429)  | (429)  | (429)  | (429)  | (429)  | (429)  | (429)  |
| Non-controlling interests \$ amount                                              | 6     | 1       | 6       | 7       | 8       | 7       | 7       | 7       |        |        |        |        |        |        |        |        |        |        |        |
| Valuation Model Assumptions                                                      |       |         |         |         |         |         |         |         |        |        |        |        |        |        |        |        |        |        |        |
| FCFF / EVA Models                                                                |       |         |         |         |         |         |         |         |        |        |        |        |        |        |        |        |        |        |        |
| Terminal growth                                                                  |       |         |         |         |         |         |         | 3.0%    |        |        |        |        |        |        |        |        |        |        |        |
| WACC                                                                             |       |         |         |         |         |         |         | 8.3%    |        |        |        |        |        |        |        |        |        |        |        |
| Diluted shares outstanding, end-of-year                                          |       |         |         |         |         |         |         | 1139.8  |        |        |        |        |        |        |        |        |        |        |        |
| FCFE / EBO Models                                                                |       |         |         |         |         |         |         |         |        |        |        |        |        |        |        |        |        |        |        |
| Terminal growth                                                                  |       |         |         |         |         |         |         | 3.0%    |        |        |        |        |        |        |        |        |        |        |        |
| Cost of Equity (Ke)                                                              |       |         |         |         |         |         |         | 9.3%    |        |        |        |        |        |        |        |        |        |        |        |
| Diluted shares outstanding, end-of-year                                          |       |         |         |         |         |         |         | 1139.80 |        |        |        |        |        |        |        |        |        |        |        |

## RETURN ON INVESTED CAPITAL COMPONENTS

|                                                                   |  | Return on Invested Capital Components       |         |         |         |         |         |         |         |         |         |         |         |         |         |         |         |         |
|-------------------------------------------------------------------|--|---------------------------------------------|---------|---------|---------|---------|---------|---------|---------|---------|---------|---------|---------|---------|---------|---------|---------|---------|
| Debt unless otherwise noted                                       |  | Fiscal Year Ending August 28 - September 3, |         |         |         |         |         |         |         |         |         |         |         |         |         |         |         |         |
|                                                                   |  | 2018A                                       | 2019A   | 2020A   | 2021A   | 2022A   | 2023A   | 2024A   | 2025A   | 2026E   | 2027E   | 2028E   | 2029E   | 2030E   | 2031E   | 2032E   | 2033E   | 2034E   |
| NOPAT                                                             |  |                                             |         |         |         |         |         |         |         |         |         |         |         |         |         |         |         |         |
| Effective tax rate                                                |  | 21.8%                                       | 19.3%   | 20.0%   | 21.0%   | 22.4%   | 23.0%   | 24.3%   | 23.9%   | 23.0%   | 23.0%   | 24.0%   | 24.0%   | 24.0%   | 24.0%   | 24.0%   | 24.0%   | 24.0%   |
| NOPAT Calculation (top-down)                                      |  |                                             |         |         |         |         |         |         |         |         |         |         |         |         |         |         |         |         |
| EBIT                                                              |  | 3,807                                       | 3,916   | 1,518   | 4,637   | 4,430   | 5,303   | 5,108   | 3,581   | 4,815   | 5,496   | 6,088   | 6,694   | 7,179   | 7,655   | 8,101   | 8,572   | 9,055   |
| Less: Taxes on EBIT                                               |  | 831                                         | 764     | 312     | 1,006   | 993     | 1,201   | 1,241   | 929     | 1,204   | 1,374   | 1,461   | 1,607   | 1,723   | 1,837   | 1,944   | 2,057   | 2,173   |
| NOPAT                                                             |  | 2,975                                       | 3,152   | 1,205   | 3,632   | 3,437   | 4,202   | 3,867   | 2,652   | 3,611   | 4,122   | 4,627   | 5,088   | 5,456   | 5,818   | 6,157   | 6,515   | 6,882   |
| Reconciliation to Net Income (bottoms-up)                         |  |                                             |         |         |         |         |         |         |         |         |         |         |         |         |         |         |         |         |
| Net Income including non-controlling interests                    |  | 4,518                                       | 3,595   | 925     | 4,200   | 3,283   | 4,125   | 3,762   | 1,857   | 3,369   | 3,818   | 4,293   | 4,757   | 5,147   | 5,524   | 5,885   | 6,273   | 6,677   |
| Plus: Interest expense, net of tax                                |  | 133                                         | 266     | 347     | 368     | 375     | 420     | 425     | 585     | 537     | 585     | 607     | 645     | 680     | 715     | 750     | 785     | 820     |
| Plus: one-time charges, net of tax                                |  | 175                                         | 109     | 221     | 134     | 36      | 17      | 0       | 661     | 64      | 0       | 0       | 0       | 0       | 0       | 0       | 0       | 0       |
| Less: interest income, net of tax                                 |  | 150                                         | 78      | 32      | 71      | 35      | 62      | 93      | 84      | 31      | 8       | 8       | 8       | 8       | 8       | 8       | 8       | 8       |
| Less: Income from equity investments, net of tax                  |  | 235                                         | 240     | 256     | 302     | 182     | 228     | 228     | 184     | 225     | 228     | 228     | 228     | 228     | 228     | 228     | 228     | 228     |
| Less: one-time gains, net of tax                                  |  | 1,466                                       | 501     | 0       | 678     | 0       | 70      | 0       | 150     | 0       | 0       | 0       | 0       | 0       | 0       | 0       | 0       | 0       |
| NOPAT                                                             |  | 2,975                                       | 3,152   | 1,205   | 3,632   | 3,437   | 4,202   | 3,867   | 2,652   | 3,611   | 4,122   | 4,627   | 5,088   | 5,456   | 5,818   | 6,157   | 6,515   | 6,882   |
| check                                                             |  | 0                                           | 0       | 0       | 0       | 0       | 0       | 0       | 0       | 0       | 0       | 0       | 0       | 0       | 0       | 0       | 0       | 0       |
| Another way to sanity check both numbers:<br>NOPAT = EBIT*(1-ETR) |  | 2,975                                       | 3,152   | 1,205   | 3,632   | 3,437   | 4,202   | 3,867   | 2,652   | 3,611   | 4,122   | 4,627   | 5,088   | 5,456   | 5,818   | 6,157   | 6,515   | 6,882   |
|                                                                   |  | 2,975                                       | 3,152   | 1,205   | 3,632   | 3,437   | 4,202   | 3,867   | 2,652   | 3,611   | 4,122   | 4,627   | 5,088   | 5,456   | 5,818   | 6,157   | 6,515   | 6,882   |
| Invested Capital                                                  |  | 2018A                                       | 2019A   | 2020A   | 2021A   | 2022A   | 2023A   | 2024A   | 2025A   | 2026E   | 2027E   | 2028E   | 2029E   | 2030E   | 2031E   | 2032E   | 2033E   | 2034E   |
| Operating working capital                                         |  | (666)                                       | (2,079) | (1,425) | (2,706) | (1,941) | (2,524) | (2,889) | (3,123) | (3,517) | (3,287) | (3,223) | (3,255) | (3,332) | (3,433) | (3,535) | (3,643) | (3,739) |
| PP&E, net                                                         |  | 5,929                                       | 6,432   | 6,241   | 6,370   | 6,561   | 7,387   | 8,666   | 8,494   | 9,137   | 9,835   | 10,800  | 12,062  | 13,401  | 14,824  | 16,326  | 17,913  | 19,581  |
| Other LT operating assets                                         |  | 5,131                                       | 6,518   | 14,642  | 14,717  | 13,809  | 14,068  | 15,087  | 15,431  | 14,845  | 15,055  | 15,136  | 15,131  | 15,126  | 15,121  | 15,117  | 15,112  | 15,107  |
| All LT operating liabilities                                      |  | 8,206                                       | 8,113   | 15,163  | 14,939  | 14,405  | 14,540  | 15,391  | 15,323  | 14,874  | 14,723  | 14,933  | 15,392  | 15,392  | 15,392  | 15,392  | 15,392  | 15,392  |
| Operating invested capital                                        |  | 2,188                                       | 2,756   | 4,299   | 3,441   | 4,023   | 4,391   | 5,472   | 5,479   | 5,591   | 6,880   | 7,779   | 8,545   | 9,804   | 11,120  | 12,515  | 13,989  | 15,557  |
| Excess cash + ST investments                                      |  | 7,825                                       | 1,564   | 3,574   | 5,310   | 1,732   | 2,334   | 1,915   | 1,794   | 257     | 257     | 257     | 257     | 257     | 257     | 257     | 257     | 257     |
| LT investments + equity investments                               |  | 602                                         | 616     | 685     | 550     | 590     | 687     | 740     | 713     | 1,042   | 1,342   | 1,642   | 2,242   | 2,842   | 3,442   | 4,042   | 4,642   | 5,242   |
| ST debt + current portion of LT debt                              |  | 350                                         | 0       | 1,689   | 999     | 1,924   | 1,852   | 1,249   | 1,499   | 1,500   | 1,500   | 2,100   | 1,000   | 2,500   | 500     | 500     | 500     | 500     |
| LT debt + excess LT debt                                          |  | 9,090                                       | 11,167  | 14,660  | 13,617  | 13,120  | 13,548  | 14,320  | 14,576  | 13,264  | 13,947  | 13,271  | 13,784  | 13,891  | 13,273  | 11,971  | 11,461  | 10,245  |
| Non-controlling interest                                          |  | 6                                           | 1       | 6       | 7       | 8       | 7       | 7       | 7       | 8       | 9       | 10      | 11      | 12      | 13      | 14      | 15      | 16      |
| Equity (excluding NCI)                                            |  | 1,170                                       | (6,232) | (7,805) | (5,321) | (8,707) | (7,995) | (7,449) | (6,097) | (7,883) | (6,978) | (5,704) | (4,051) | (2,101) | 133     | 2,629   | 3,412   | 8,495   |
| Total investor funds                                              |  | 2,188                                       | 2,756   | 4,299   | 3,441   | 4,023   | 4,391   | 5,472   | 5,479   | 5,591   | 6,880   | 7,779   | 8,545   | 9,804   | 11,120  | 12,515  | 13,989  | 15,557  |
| check                                                             |  | 0                                           | 0       | 0       | 0       | 0       | 0       | 0       | 0       | 0       | 0       | 0       | 0       | 0       | 0       | 0       | 0       | 0       |

## RATIO ANALYSIS

| Ratio Analysis                       |         |          |          |          |          |          |          |          |  |          |          |          |          |          |          |           |           |        |        |       |
|--------------------------------------|---------|----------|----------|----------|----------|----------|----------|----------|--|----------|----------|----------|----------|----------|----------|-----------|-----------|--------|--------|-------|
|                                      | 2018A   | 2019A    | 2020A    | 2021A    | 2022A    | 2023A    | 2024A    | 2025A    |  | 2026E    | 2027E    | 2028E    | 2029E    | 2030E    | 2031E    | 2032E     | 2033E     | 2034E  | 2035E  | 2036E |
| Returns                              |         |          |          |          |          |          |          |          |  |          |          |          |          |          |          |           |           |        |        |       |
| Return on Ending Adjusted Equity     | (56.9%) | (39.0%)  | (5.3%)   | (34.2%)  | (27.4%)  | (34.8%)  | (34.0%)  | (15.0%)  |  | (33.9%)  | (41.8%)  | (53.4%)  | (72.3%)  | (106.7%) | (198.3%) | (1202.4%) | 299.8%    | 134.3% | 86.7%  | 64.2% |
| Return on Beginning Adjusted Equity  | N/A     | (45.2%)  | (7.6%)   | (31.7%)  | (27.1%)  | (34.8%)  | (31.2%)  | (15.7%)  |  | (29.3%)  | (39.0%)  | (47.3%)  | (59.5%)  | (78.6%)  | (114.9%) | (211.8%)  | (1285.0%) | 319.9% | 140.3% | 89.6% |
| Unlevered Return on Beginning Assets | N/A     | 19.6%    | 7.9%     | 19.5%    | 14.7%    | 20.8%    | 18.3%    | 9.3%     |  | 15.9%    | 18.2%    | 19.2%    | 20.1%    | 20.4%    | 20.6%    | 20.6%     | 20.7%     | 20.7%  | 20.3%  | 19.9% |
| EBIT / Beginning Total Capital       | N/A     | 36.9%    | 30.8%    | 54.5%    | 47.7%    | 86.8%    | 69.0%    | 44.1%    |  | 60.4%    | 79.9%    | 71.9%    | 69.2%    | 66.9%    | 62.3%    | 58.3%     | 54.9%     | 52.1%  | 48.7%  | 45.4% |
| Value Drivers                        |         |          |          |          |          |          |          |          |  |          |          |          |          |          |          |           |           |        |        |       |
| Profitability                        |         |          |          |          |          |          |          |          |  |          |          |          |          |          |          |           |           |        |        |       |
| Gross Margin                         | 68.2%   | 68.1%    | 67.6%    | 70.2%    | 68.3%    | 68.5%    | 69.3%    | 68.9%    |  | 69.3%    | 69.3%    | 69.3%    | 69.3%    | 69.3%    | 69.3%    | 69.3%     | 69.3%     | 69.3%  | 69.3%  | 69.3% |
| EBIT Margin                          | 15.4%   | 14.8%    | 6.5%     | 16.0%    | 13.7%    | 15.3%    | 14.1%    | 9.6%     |  | 12.5%    | 13.4%    | 13.9%    | 14.3%    | 14.5%    | 14.5%    | 14.6%     | 14.6%     | 14.7%  | 14.7%  | 14.7% |
| EBITDA Margin                        | 20.7%   | 20.2%    | 12.8%    | 21.3%    | 18.5%    | 19.3%    | 18.5%    | 14.4%    |  | 16.8%    | 17.7%    | 18.2%    | 18.6%    | 18.8%    | 18.8%    | 18.9%     | 18.9%     | 19.0%  | 19.0%  | 19.0% |
| DuPont Analysis                      |         |          |          |          |          |          |          |          |  |          |          |          |          |          |          |           |           |        |        |       |
| Net Margin                           | 18.3%   | 13.6%    | 3.9%     | 14.5%    | 10.2%    | 11.5%    | 10.4%    | 5.0%     |  | 8.7%     | 9.3%     | 9.8%     | 10.2%    | 10.4%    | 10.5%    | 10.6%     | 10.7%     | 10.8%  | 10.9%  | 11.0% |
| x Asset Turnover                     | 1.6x    | 1.6x     | 0.9x     | 1.1x     | 1.3x     | 1.4x     | 1.3x     | 1.3x     |  | 1.3x     | 1.3x     | 1.4x     | 1.4x     | 1.4x     | 1.4x     | 1.4x      | 1.4x      | 1.4x   | 1.4x   | 1.4x  |
| = Return on Assets                   | 28.7%   | 21.1%    | 3.7%     | 16.4%    | 12.8%    | 15.6%    | 13.1%    | 6.3%     |  | 11.3%    | 12.4%    | 13.4%    | 14.1%    | 14.5%    | 14.8%    | 15.0%     | 15.2%     | 15.4%  | 15.4%  | 15.2% |
| x Balance Sheet Leverage             | (2.2x)  | (2.0x)   | (2.1x)   | (2.3x)   | (2.3x)   | (2.4x)   | (2.8x)   | (2.8x)   |  | (3.2x)   | (3.6x)   | (4.2x)   | (5.4x)   | (7.7x)   | (14.0x)  | (83.3x)   | 20.5x     | 9.0x   | 5.8x   | 4.4x  |
| = Return on Equity                   | (62.2%) | (42.8%)  | (7.7%)   | (37.6%)  | (29.8%)  | (37.4%)  | (37.2%)  | (17.5%)  |  | (36.7%)  | (44.5%)  | (56.5%)  | (76.1%)  | (111.9%) | (207.1%) | (1252.7%) | 311.6%    | 139.2% | 89.8%  | 66.4% |
| Turnover                             |         |          |          |          |          |          |          |          |  |          |          |          |          |          |          |           |           |        |        |       |
| A/R turnover                         | 35.7x   | 30.2x    | 26.6x    | 30.9x    | 27.4x    | 30.4x    | 29.8x    | 29.1x    |  | 28.1x    | 28.6x    | 28.7x    | 28.5x    | 28.3x    | 28.1x    | 28.0x     | 27.9x     | 27.7x  | 27.7x  | 27.7x |
| Inventory turnover                   | 5.6x    | 5.5x     | 4.9x     | 5.4x     | 4.7x     | 6.3x     | 6.2x     | 5.3x     |  | 5.6x     | 5.9x     | 6.1x     | 6.3x     | 6.3x     | 6.3x     | 6.3x      | 6.3x      | 6.3x   | 6.3x   | 6.3x  |
| A/P turnover                         | 6.7x    | 7.1x     | 7.6x     | 7.1x     | 7.1x     | 7.3x     | 7.0x     | 6.2x     |  | 6.5x     | 6.8x     | 6.9x     | 7.0x     | 7.0x     | 7.0x     | 7.0x      | 7.0x      | 7.0x   | 7.0x   | 7.0x  |
| A/R days                             | 10.2    | 12.1     | 13.7     | 11.8     | 13.3     | 12.0     | 12.2     | 12.5     |  | 13.0     | 12.8     | 12.7     | 12.8     | 12.9     | 13.0     | 13.0      | 13.1      | 13.2   | 13.2   | 13.2  |
| Inventory days                       | 64.9    | 66.0     | 74.3     | 67.6     | 77.6     | 58.2     | 58.4     | 68.9     |  | 65.0     | 62.0     | 60.0     | 58.0     | 58.0     | 58.0     | 58.0      | 58.0      | 58.0   | 58.0   | 58.0  |
| A/P days                             | 54.7    | 51.4     | 47.8     | 51.1     | 51.4     | 49.8     | 52.5     | 58.4     |  | 56.0     | 54.0     | 53.0     | 52.5     | 52.0     | 52.0     | 52.0      | 52.0      | 52.0   | 52.0   | 52.0  |
| Cash conversion cycle                | 20.5    | 26.8     | 40.2     | 28.3     | 39.5     | 20.5     | 18.2     | 23.0     |  | 22.0     | 20.8     | 19.7     | 18.3     | 18.9     | 19.0     | 19.0      | 19.1      | 19.2   | 19.2   | 19.2  |
| Fixed asset turnover                 | 4.2x    | 4.1x     | 3.8x     | 4.6x     | 4.9x     | 4.9x     | 4.2x     | 4.4x     |  | 4.2x     | 4.2x     | 4.1x     | 3.9x     | 3.7x     | 3.6x     | 3.4x      | 3.3x      | 3.2x   | 3.0x   | 2.8x  |
| Credit Analysis                      |         |          |          |          |          |          |          |          |  |          |          |          |          |          |          |           |           |        |        |       |
| Liquidity                            |         |          |          |          |          |          |          |          |  |          |          |          |          |          |          |           |           |        |        |       |
| Current ratio                        | 2.2x    | 0.9x     | 1.1x     | 1.2x     | 0.8x     | 0.8x     | 0.8x     | 0.7x     |  | 0.6x     | 0.6x     | 0.6x     | 0.6x     | 0.6x     | 0.7x     | 0.7x      | 0.7x      | 0.7x   | 0.7x   | 0.7x  |
| Quick ratio                          | 1.7x    | 0.6x     | 0.8x     | 0.9x     | 0.5x     | 0.5x     | 0.5x     | 0.5x     |  | 0.3x     | 0.3x     | 0.3x     | 0.4x     | 0.3x     | 0.4x     | 0.4x      | 0.4x      | 0.4x   | 0.4x   | 0.4x  |
| Solvency                             |         |          |          |          |          |          |          |          |  |          |          |          |          |          |          |           |           |        |        |       |
| Debt / equity                        | 802.9%  | (179.2%) | (209.6%) | (275.0%) | (172.9%) | (192.8%) | (209.2%) | (198.7%) |  | (187.5%) | (221.7%) | (270.0%) | (366.0%) | (689.1%) | 9405.7%  | 490.6%    | 220.4%    | 126.2% | 80.1%  | 53.2% |
| Debt / total capital                 | 88.9%   | 226.2%   | 191.2%   | 157.1%   | 237.1%   | 207.8%   | 191.6%   | 201.3%   |  | 214.3%   | 182.2%   | 158.8%   | 137.6%   | 117.0%   | 98.9%    | 83.1%     | 68.8%     | 55.8%  | 44.5%  | 34.7% |
| Coverage / Leverage Ratios           |         |          |          |          |          |          |          |          |  |          |          |          |          |          |          |           |           |        |        |       |
| EBIT / Interest expense              | 22.4x   | 11.8x    | 3.5x     | 9.9x     | 9.2x     | 10.0x    | 9.1x     | 6.6x     |  | 6.2x     | 7.7x     | 8.1x     | 9.0x     | 10.0x    | 11.0x    | 12.1x     | 13.6x     | 15.6x  | 18.0x  | 21.0x |
| EBITDA - Capex / Interest expense    | 18.4x   | 10.8x    | 3.5x     | 10.0x    | 8.5x     | 8.4x     | 7.0x     | 5.6x     |  | 5.4x     | 6.7x     | 6.8x     | 7.3x     | 8.2x     | 8.9x     | 9.9x      | 11.1x     | 12.7x  | 14.7x  | 17.2x |
| Total Debt / EBITDA                  | 1.8x    | 2.1x     | 5.4x     | 2.4x     | 2.5x     | 2.2x     | 2.3x     | 3.0x     |  | 2.3x     | 2.1x     | 1.9x     | 1.7x     | 1.5x     | 1.4x     | 1.2x      | 1.1x      | 0.9x   | 0.8x   | 0.6x  |
| Net Debt / EBITDA                    | 0.3x    | 1.8x     | 4.2x     | 1.5x     | 2.2x     | 1.9x     | 2.0x     | 2.7x     |  | 2.2x     | 2.1x     | 1.9x     | 1.7x     | 1.5x     | 1.4x     | 1.2x      | 1.1x      | 0.9x   | 0.8x   | 0.6x  |

## FINANCIAL MODEL

|                                                               |        | Financial Model                      |         |         |        |        |        |        |        |        |        |        |        |        |        |        |        |        |        |        |
|---------------------------------------------------------------|--------|--------------------------------------|---------|---------|--------|--------|--------|--------|--------|--------|--------|--------|--------|--------|--------|--------|--------|--------|--------|--------|
| SMM unless otherwise noted                                    |        | Fiscal Year Ending September 27 - 30 |         |         |        |        |        |        |        |        |        |        |        |        |        |        |        |        |        |        |
|                                                               |        | 2018A                                | 2019A   | 2020A   | 2021A  | 2022A  | 2023A  | 2024A  | 2025A  | 2026E  | 2027E  | 2028E  | 2029E  | 2030E  | 2031E  | 2032E  | 2033E  | 2034E  | 2035E  | 2036E  |
| Income Statement                                              |        |                                      |         |         |        |        |        |        |        |        |        |        |        |        |        |        |        |        |        |        |
| Net revenue:                                                  |        |                                      |         |         |        |        |        |        |        |        |        |        |        |        |        |        |        |        |        |        |
| Company-operating stores                                      | 19,690 | 21,544                               | 19,165  | 24,607  | 26,576 | 29,462 | 29,766 | 30,745 | 31,667 | 33,567 | 35,749 | 38,073 | 40,357 | 42,779 | 45,131 | 47,614 | 49,994 | 51,744 | 53,038 |        |
| Licensed stores                                               | 2,652  | 2,875                                | 2,327   | 2,654   | 3,656  | 4,512  | 5,053  | 5,485  | 4,785  | 5,168  | 5,582  | 5,972  | 6,391  | 6,838  | 7,248  | 7,683  | 8,144  | 8,429  | 8,640  |        |
| Other                                                         | 2,377  | 2,089                                | 2,026   | 1,720   | 2,010  | 2,001  | 1,902  | 2,089  | 2,194  | 2,325  | 2,511  | 2,687  | 2,875  | 3,076  | 3,261  | 3,457  | 3,664  | 3,792  | 3,887  |        |
| Total net revenues                                            | 24,720 | 26,509                               | 23,518  | 29,041  | 32,250 | 35,976 | 36,776 | 37,184 | 38,646 | 41,061 | 43,842 | 46,732 | 49,623 | 52,693 | 55,641 | 58,753 | 61,802 | 63,945 | 65,565 |        |
| % growth                                                      |        | 7.2%                                 | -11.3%  | 21.6%   | 11.0%  | 11.6%  | 0.6%   | 2.8%   | 3.9%   | 6.2%   | 6.2%   | 6.8%   | 6.6%   | 6.2%   | 6.2%   | 5.6%   | 5.6%   | 5.2%   | 3.5%   | 2.5%   |
| Product and distribution costs (COGs) ex-depreciation         |        | 7,872                                | 8,455   | 7,623   | 8,656  | 10,236 | 11,321 | 11,101 | 11,571 | 11,864 | 12,606 | 13,460 | 14,347 | 15,234 | 16,177 | 17,082 | 18,037 | 18,973 | 19,637 | 20,128 |
| Gross profit                                                  | 16,848 | 18,054                               | 15,895  | 20,404  | 22,014 | 24,654 | 25,675 | 26,083 | 26,813 | 27,882 | 28,455 | 30,383 | 32,385 | 34,389 | 36,516 | 38,559 | 40,736 | 42,829 | 44,328 | 45,436 |
| % margin                                                      |        | 68.2%                                | 68.1%   | 67.6%   | 70.2%  | 68.3%  | 68.3%  | 69.3%  | 69.3%  | 69.3%  | 69.3%  | 69.3%  | 69.3%  | 69.3%  | 69.3%  | 69.3%  | 69.3%  | 69.3%  | 69.3%  | 69.3%  |
| Store operating expenses                                      |        | 9,472                                | 10,494  | 10,764  | 11,331 | 13,562 | 14,720 | 15,287 | 15,659 | 16,942 | 17,623 | 18,590 | 19,607 | 20,744 | 21,988 | 23,198 | 24,473 | 25,697 | 26,596 | 27,261 |
| Other operating expenses                                      | 555    | 371                                  | 430     | 562     | 532    | 560    | 585    | 650    | 739    | 680    | 746    | 798    | 854    | 909    | 966    | 1,027  | 1,088  | 1,126  | 1,154  |        |
| Total depreciation                                            | 1,119  | 1,217                                | 1,280   | 1,301   | 1,337  | 1,429  | 1,572  | 1,734  | 1,662  | 1,766  | 1,885  | 2,039  | 2,201  | 2,134  | 2,266  | 2,393  | 2,526  | 2,658  | 2,791  | 2,819  |
| Amortization                                                  | 187    | 233                                  | 224     | 224     | 223    | 224    | 22     | 22     | 15     | 15     | 15     | 15     | 15     | 15     | 15     | 15     | 15     | 15     | 15     |        |
| General and administrative (G&A)                              | 1,708  | 1,824                                | 1,680   | 1,933   | 2,032  | 2,461  | 2,523  | 2,617  | 2,705  | 2,874  | 3,069  | 3,271  | 3,474  | 3,688  | 3,895  | 4,113  | 4,326  | 4,478  | 4,590  |        |
| EBIT                                                          | 3,807  | 3,916                                | 1,518   | 4,657   | 4,430  | 5,503  | 5,108  | 3,581  | 4,815  | 5,496  | 6,008  | 6,498  | 7,179  | 7,655  | 8,101  | 8,572  | 9,055  | 9,372  | 9,607  |        |
| % margin                                                      |        | 15.4%                                | 14.8%   | 6.5%    | 16.0%  | 13.7%  | 15.3%  | 13.4%  | 16.7%  | 12.5%  | 13.4%  | 14.5%  | 15.6%  | 16.5%  | 16.5%  | 14.6%  | 14.6%  | 14.7%  | 14.7%  | 14.7%  |
| EBITDA                                                        | 5,112  | 5,365                                | 3,021   | 6,181   | 5,959  | 6,953  | 6,700  | 5,352  | 6,483  | 7,267  | 7,978  | 8,709  | 9,318  | 9,926  | 10,498 | 11,093 | 11,718 | 12,128 | 12,431 |        |
| % margin                                                      |        | 20.7%                                | 20.2%   | 12.8%   | 21.3%  | 18.5%  | 18.5%  | 14.4%  | 16.8%  | 17.7%  | 18.2%  | 18.4%  | 18.4%  | 18.4%  | 18.4%  | 18.4%  | 18.4%  | 18.4%  | 18.4%  | 18.4%  |
| Restructuring and impairments                                 |        | 224                                  | 136     | 279     | 120    | 46     | 22     | 0      | 892    | 85     | 0      | 0      | 0      | 0      | 0      | 0      | 0      | 0      | 0      | 0      |
| Income from equity investments                                | 301    | 298                                  | 323     | 385     | 234    | 228    | 301    | 248    | 300    | 300    | 300    | 300    | 300    | 300    | 300    | 300    | 300    | 300    | 300    | 300    |
| Gains from acquisitions                                       | 1,376  | 0                                    | 0       | 0       | 0      | 0      | 0      | 0      | 0      | 0      | 0      | 0      | 0      | 0      | 0      | 0      | 0      | 0      | 0      | 0      |
| Gains from divestitures / sale of assets                      | 499    | 623                                  | 0       | 865     | 0      | 31     | 0      | 200    | 0      | 0      | 0      | 0      | 0      | 0      | 0      | 0      | 0      | 0      | 0      | 0      |
| Interest expense                                              | 170    | 331                                  | 437     | 470     | 483    | 550    | 562    | 543    | 780    | 716    | 749    | 746    | 717    | 698    | 668    | 629    | 580    | 521    | 457    |        |
| Interest income & other                                       | 191    | 97                                   | 40      | 59      | 97     | 81     | 123    | 113    | 41     | 11     | 11     | 11     | 11     | 11     | 11     | 11     | 11     | 11     | 11     |        |
| Income before taxes                                           | 5,780  | 4,466                                | 1,164   | 5,357   | 4,232  | 5,402  | 4,970  | 2,507  | 4,491  | 5,091  | 5,649  | 6,259  | 6,773  | 7,268  | 7,743  | 8,254  | 8,786  | 9,162  | 9,460  |        |
| Income tax expense                                            | 1,262  | 872                                  | 240     | 1,157   | 940    | 1,277  | 1,207  | 651    | 1,123  | 1,273  | 1,356  | 1,502  | 1,625  | 1,744  | 1,858  | 1,981  | 2,095  | 2,199  | 2,270  |        |
| % effective tax rate                                          |        | 21.8%                                | 19.3%   | 20.6%   | 21.6%  | 22.4%  | 23.6%  | 24.0%  | 25.9%  | 25.0%  | 24.0%  | 24.0%  | 24.0%  | 24.0%  | 24.0%  | 24.0%  | 24.0%  | 24.0%  | 24.0%  | 24.0%  |
| Net income including non-controlling interests                |        | 4,518                                | 3,595   | 925     | 4,200  | 3,283  | 4,125  | 3,762  | 1,857  | 3,369  | 3,818  | 4,293  | 4,757  | 5,147  | 5,524  | 5,885  | 6,273  | 6,677  | 6,963  | 7,190  |
| Net (loss) / income attributable to non-controlling interests | (0)    | (5)                                  | (4)     | 1       | 2      | 1      | 1      | 1      | 1      | 1      | 1      | 1      | 1      | 1      | 1      | 1      | 1      | 1      | 1      | 1      |
| Net income attributable to SBUX shareholders                  | 4,518  | 3,590                                | 928     | 4,199   | 3,282  | 4,125  | 3,761  | 1,856  | 3,368  | 3,817  | 4,292  | 4,756  | 5,146  | 5,523  | 5,884  | 6,272  | 6,676  | 6,962  | 7,189  |        |
|                                                               |        |                                      |         |         |        |        |        |        |        |        |        |        |        |        |        |        |        |        |        |        |
| Basic Weighted-Average Shares Outstanding                     |        | 1,382.7                              | 1,221.2 | 1,172.8 | 1,128  | 1,153  | 1,147  | 1,134  | 1,136  | 1,134  | 1,134  | 1,134  | 1,134  | 1,134  | 1,134  | 1,134  | 1,134  | 1,134  | 1,134  | 1,134  |
| Diluted Weighted-Average Shares Outstanding                   |        | 1,394.6                              | 1,233.2 | 1,181.4 | 1,188  | 1,159  | 1,151  | 1,137  | 1,140  | 1,137  | 1,137  | 1,137  | 1,137  | 1,137  | 1,137  | 1,137  | 1,137  | 1,137  | 1,137  | 1,137  |
| Cash Dividend \$ Amount                                       |        | 1,743                                | 1,761   | 1,924   | 2,119  | 2,263  | 2,432  | 2,583  | 2,721  | 2,843  | 2,942  | 3,019  | 3,103  | 3,196  | 3,289  | 3,388  | 3,489  | 3,594  | 3,702  | 3,813  |
|                                                               |        |                                      |         |         |        |        |        |        |        |        |        |        |        |        |        |        |        |        |        |        |
| Basic EPS                                                     |        | \$3.27                               | \$2.95  | \$0.79  | \$3.57 | \$2.85 | \$3.40 | \$3.32 | \$1.63 | \$2.97 | \$3.37 | \$3.79 | \$4.19 | \$4.54 | \$4.87 | \$5.19 | \$5.53 | \$5.89 | \$6.14 | \$6.34 |
| Diluted EPS                                                   |        | \$3.24                               | \$2.92  | \$0.79  | \$3.54 | \$2.83 | \$3.31 | \$3.16 | \$1.63 | \$2.96 | \$3.36 | \$3.78 | \$4.18 | \$4.53 | \$4.86 | \$5.18 | \$5.52 | \$5.87 | \$6.12 | \$6.32 |
| Diluted EPS per share                                         |        | \$1.26                               | \$1.44  | \$1.64  | \$1.80 | \$2.05 | \$2.38 | \$2.44 | \$2.51 | \$2.59 | \$2.66 | \$2.74 | \$2.82 | \$2.90 | \$2.99 | \$3.08 | \$3.17 | \$3.26 | \$3.36 | \$3.46 |
| Dividend per share growth rate                                |        |                                      | 14.4%   | 13.7%   | 9.7%   | 9.1%   | 8.1%   | 7.5%   | 7.0%   | 2.8%   | 3.5%   | 2.6%   | 2.8%   | 3.0%   | 2.9%   | 3.0%   | 3.0%   | 3.0%   | 3.0%   | 3.0%   |
|                                                               |        |                                      |         |         |        |        |        |        |        |        |        |        |        |        |        |        |        |        |        |        |
|                                                               |        | 2018A                                | 2019A   | 2020A   | 2021A  | 2022A  | 2023A  | 2024A  | 2025A  | 2026E  | 2027E  | 2028E  | 2029E  | 2030E  | 2031E  | 2032E  | 2033E  | 2034E  | 2035E  | 2036E  |
| Balance Sheet                                                 |        |                                      |         |         |        |        |        |        |        |        |        |        |        |        |        |        |        |        |        |        |
| Operating cash                                                |        | 1,112                                | 1,193   | 1,058   | 1,308  | 1,451  | 1,619  | 1,628  | 1,673  | 1,739  | 1,848  | 1,973  | 2,103  | 2,233  | 2,371  | 2,504  | 2,644  | 2,781  | 2,878  | 2,950  |
| Excess cash                                                   | 7,644  | 1,494                                | 3,293   | 5,148   | 1,367  | 1,933  | 1,658  | 1,547  | 0      | 0      | 0      | 0      | 0      | 0      | 0      | 0      | 0      | 0      | 0      | 0      |
| Short-term investments                                        | 182    | 71                                   | 281     | 162     | 355    | 402    | 427    | 247    | 257    | 257    | 257    | 257    | 257    | 257    | 257    | 257    | 257    | 257    | 257    | 257    |
| Accounts receivable, net                                      | 693    | 879                                  | 883     | 880     | 1,176  | 1,184  | 1,184  | 1,174  | 1,437  | 1,437  | 1,530  | 1,637  | 1,752  | 1,874  | 1,987  | 2,106  | 2,232  | 2,310  | 2,368  | 2,368  |
| Inventory                                                     | 1,401  | 1,529                                | 1,551   | 1,604   | 2,127  | 1,806  | 1,727  | 2,188  | 2,113  | 2,141  | 2,213  | 2,280  | 2,421  | 2,571  | 2,714  | 2,866  | 3,015  | 3,120  | 3,198  | 3,198  |
| Prepaid expenses and other current assets                     | 1,463  | 740                                  | 488     | 740     | 395    | 488    | 300    | 313    | 452    | 464    | 452    | 395    | 421    | 427    | 474    | 501    | 529    | 556    | 576    | 590    |
| Current Assets                                                | 12,494 | 5,654                                | 7,806   | 9,758   | 7,019  | 7,303  | 6,847  | 7,382  | 8,139  | 8,635  | 9,209  | 9,847  | 10,487 | 11,127 | 11,767 | 12,407 | 13,047 | 13,687 | 14,327 | 14,967 |
| Long-term investments                                         | 268    | 230                                  | 206     | 282     | 279    | 247    | 276    | 247    | 276    | 276    | 276    | 276    | 276    | 276    | 276    | 276    | 276    | 276    | 276    | 276    |
| Equity investments                                            | 355    | 396                                  | 479     | 269     | 411    | 440    | 466    | 466    | 766    | 1,066  | 1,366  | 1,666  | 1,966  | 2,266  | 2,566  | 2,866  | 3,166  | 3,466  | 3,766  | 4,066  |
| PP&E, net                                                     | 5,929  | 6,432                                | 6,241   | 6,370   | 6,561  | 7,387  | 7,866  | 8,494  | 9,137  | 9,835  | 10,600 | 11,462 | 12,324 | 13,186 | 14,048 | 14,910 | 15,772 | 16,634 | 17,496 | 18,358 |
| Operating lease, ROU asset                                    | 0      | 0                                    | 8,134   | 8,226   | 8,016  | 8,412  | 8,666  | 9,316  | 9,100  | 9,200  | 9,286  | 9,386  | 9,486  | 9,586  | 9,686  | 9,786  | 9,886  | 9,986  | 10,086 | 10,186 |
| Deferred income taxes, net                                    | 135    | 1,766                                | 1,790   | 1,873   | 1,800  | 1,770  | 1,767  | 1,767  | 1,767  | 1,767  | 1,767  | 1,767  | 1,767  | 1,767  | 1,767  | 1,767  | 1,767  | 1,767  | 1,767  | 1,767  |
| Other long-term assets                                        | 4,402  | 480                                  | 569     | 579     | 554    | 547    | 617    | 553    | 617    | 617    | 617    | 617    | 617    | 617    | 617    | 617    | 617    | 617    | 617    | 617    |
| Intangible assets                                             | 1,042  | 782                                  | 552     | 559     | 126    | 120    | 101    | 161    | 155    |        |        |        |        |        |        |        |        |        |        |        |

SUPPORTING VALUATION MODELS

| Valuation Summary             |                     |
|-------------------------------|---------------------|
| Valuation Date: Sept 28, 2025 |                     |
| Methodology                   | Implied Share Price |
| FCFF                          | \$65.75             |
| EVA                           | \$65.75             |
| FCFE                          | \$60.20             |
| EBO                           | \$60.25             |

| Free Cash Flow to the Firm (FCFF)                         |         |         |         |         |         |         |         |         |                                                  |         |         |         |         |         |         |         |         |         |         |
|-----------------------------------------------------------|---------|---------|---------|---------|---------|---------|---------|---------|--------------------------------------------------|---------|---------|---------|---------|---------|---------|---------|---------|---------|---------|
| MM unless otherwise noted                                 |         |         |         |         |         |         |         |         |                                                  |         |         |         |         |         |         |         |         |         |         |
|                                                           | 2018A   | 2019A   | 2020A   | 2021A   | 2022A   | 2023A   | 2024A   | 2025A   | Final Year Ending August 28 - September 3, 2026E |         |         |         |         |         |         |         |         |         |         |
| Using Operating Cash Flows                                |         |         |         |         |         |         |         |         |                                                  |         |         |         |         |         |         |         |         |         |         |
| NOPAT                                                     | 2,975   | 3,152   | 1,205   | 3,652   | 3,437   | 4,202   | 3,867   | 2,652   | 3,611                                            | 4,122   | 4,627   | 5,088   | 5,456   | 5,818   | 6,157   | 6,515   | 6,882   | 7,123   | 7,301   |
| + Depreciation                                            | N/A     | 1,217   | 1,280   | 1,301   | 1,337   | 1,429   | 1,572   | 1,754   | 1,662                                            | 1,766   | 1,885   | 2,009   | 2,134   | 2,266   | 2,393   | 2,526   | 2,658   | 2,751   | 2,819   |
| +/- Change in OWC                                         | N/A     | 1,413   | (654)   | 1,281   | (766)   | 583     | 365     | 234     | 394                                              | (230)   | (64)    | 31      | 77      | 101     | 103     | 108     | 96      | 80      | 59      |
| - Capex                                                   | N/A     | (1,807) | (1,484) | (1,470) | (1,841) | (2,334) | (2,778) | (2,306) | (2,464)                                          | (2,464) | (2,850) | (3,271) | (3,474) | (3,688) | (3,895) | (4,113) | (4,320) | (4,478) | (4,590) |
| +/- Change in other long-term operating assets            | N/A     | (1,387) | (8,124) | (75)    | 908     | (259)   | (1,019) | (344)   | 586                                              | (210)   | (81)    | 5       | 5       | 5       | 5       | 5       | 5       | 5       | 5       |
| +/- Change in other long-term liabilities                 | N/A     | (91)    | 7,653   | (229)   | (533)   | 135     | 851     | (69)    | (449)                                            | (151)   | 210     | 459     | 0       | 0       | 0       | 0       | 0       | 0       | 0       |
| FCFF                                                      | N/A     | 2,496   | (723)   | 4,460   | 2,541   | 3,756   | 2,859   | 1,921   | 3,499                                            | 2,833   | 3,728   | 4,321   | 4,198   | 4,501   | 4,762   | 5,041   | 5,314   | 5,480   | 5,595   |
| Using Non-Operating & Financing Cash Flows                |         |         |         |         |         |         |         |         |                                                  |         |         |         |         |         |         |         |         |         |         |
| Effective tax rate                                        |         |         |         |         |         |         |         |         |                                                  |         |         |         |         |         |         |         |         |         |         |
| Non-operating Cash Flows                                  |         |         |         |         |         |         |         |         |                                                  |         |         |         |         |         |         |         |         |         |         |
| Plus: Interest income, net of tax                         | 150     | 78      | 32      | 71      | 75      | 62      | 93      | 84      | 31                                               | 8       | 8       | 8       | 8       | 8       | 8       | 8       | 8       | 8       | 8       |
| Plus: Income from equity investments, net of tax          | 235     | 240     | 256     | 302     | 182     | 228     | 228     | 184     | 225                                              | 225     | 228     | 228     | 228     | 228     | 228     | 228     | 228     | 228     | 228     |
| Plus: Income from one-time gains, net of tax              | 1,466   | 581     | 0       | 678     | 0       | 70      | 0       | 0       | 159                                              | 0       | 0       | 0       | 0       | 0       | 0       | 0       | 0       | 0       | 0       |
| Less: One-time charges/losses, net of tax                 | (175)   | (189)   | (221)   | (134)   | (36)    | (17)    | 0       | (661)   | (64)                                             | 0       | 0       | 0       | 0       | 0       | 0       | 0       | 0       | 0       | 0       |
| (Increase) / decrease in excess cash                      | N/A     | 6,150   | (1,799) | (1,855) | 3,781   | (565)   | 274     | 112     | 1,547                                            | 0       | 0       | 0       | 0       | 0       | 0       | 0       | 0       | 0       | 0       |
| (Decrease) / decrease in ST investments                   | N/A     | 111     | (211)   | 119     | (202)   | (37)    | 145     | 10      | (19)                                             | 0       | 0       | 0       | 0       | 0       | 0       | 0       | 0       | 0       | 0       |
| Sale / (purchase) of LT investments                       | N/A     | 48      | 14      | (76)    | 3       | 32      | (29)    | 29      | (29)                                             | 0       | 0       | 0       | 0       | 0       | 0       | 0       | 0       | 0       | 0       |
| Sale / (purchase) of equity investments                   | N/A     | (61)    | (83)    | 210     | (43)    | (129)   | (24)    | (2)     | (300)                                            | (300)   | (300)   | (300)   | (300)   | (300)   | (300)   | (300)   | (300)   | (300)   | (300)   |
| Financing Cash Flows                                      |         |         |         |         |         |         |         |         |                                                  |         |         |         |         |         |         |         |         |         |         |
| Less: Interest expense, net of tax                        | N/A     | (246)   | (347)   | (368)   | (375)   | (420)   | (423)   | (402)   | (585)                                            | (537)   | (569)   | (567)   | (545)   | (530)   | (508)   | (478)   | (441)   | (396)   | (347)   |
| Issuance / (repayment) of ST debt                         | N/A     | 0       | 439     | (439)   | 175     | (142)   | (34)    | 0       | 0                                                | 0       | 0       | 0       | 0       | 0       | 0       | 0       | 0       | 0       | 0       |
| Issuance / (repayment) of current portion of LTD          | N/A     | (340)   | 1,250   | (251)   | 750     | (70)    | (376)   | 250     | 1                                                | 0       | 400     | (1,000) | 1,500   | (2,000) | 500     | (500)   | 0       | 0       | (150)   |
| Issuance / (repayment) of LT debt                         | N/A     | 2,077   | 3,493   | (1,043) | (497)   | 428     | 772     | 256     | (1,500)                                          | (1,500) | (2,100) | (1,000) | (2,500) | (500)   | (500)   | (500)   | (500)   | (500)   | (500)   |
| Issuance / (repayment) of excess LTD                      | N/A     | 0       | 0       | 0       | 0       | 0       | 0       | 0       | 188                                              | 2,183   | 1,424   | 1,512   | 607     | 1,882   | (302)   | (10)    | (716)   | (819)   | (871)   |
| Change in common stock - par value                        | N/A     | 0       | 0       | 0       | 0       | 0       | 0       | 0       | (0)                                              | 0       | 0       | 0       | 0       | 0       | 0       | 0       | 0       | 0       | 0       |
| Change in additional paid in capital                      | N/A     | 0       | 333     | 472     | (641)   | (167)   | 285     | 312     | (311)                                            | 0       | 0       | 0       | 0       | 0       | 0       | 0       | 0       | 0       | 0       |
| Change in accumulated other comprehensive income / (loss) | N/A     | (173)   | 139     | 512     | (610)   | (313)   | 349     | (31)    | 9                                                | 36      | 0       | 0       | 0       | 0       | 0       | 0       | 0       | 0       | 0       |
| Less: Dividends                                           | N/A     | (1,761) | (1,924) | (2,119) | (2,263) | (2,432) | (2,583) | (2,771) | (2,843)                                          | (2,942) | (3,019) | (3,103) | (3,196) | (3,289) | (3,388) | (3,489) | (3,594) | (3,702) | (3,813) |
| FFCF                                                      | 6,483   | 1,378   | (3,921) | 298     | (3,355) | (1,521) | (2,631) | (3,499) | (2,833)                                          | (3,728) | (4,321) | (4,198) | (4,501) | (4,762) | (5,041) | (5,314) | (5,480) | (5,595) | (5,595) |
| check                                                     | 6,979.5 | 646.7   | 339.2   | 2,839.4 | 421.6   | 1,337.9 | (709.7) | 0.0     | 0.0                                              | 0.0     | 0.0     | 0.0     | 0.0     | (0.0)   | 0.0     | 0.0     | 0.0     | 0.0     | 0.0     |

| Valuation Model - FCFF (1-Year)    |     | 2025A | 2026E | 2027E | 2028E | 2029E | 2030E | 2031E | 2032E | 2033E | 2034E | 2035E | 2036E   |
|------------------------------------|-----|-------|-------|-------|-------|-------|-------|-------|-------|-------|-------|-------|---------|
| FCFF                               | N/A | 3,499 | 2,833 | 3,728 | 4,321 | 4,198 | 4,501 | 4,762 | 5,041 | 5,314 | 5,480 | 5,595 | 5,595   |
| WACC                               |     | 8.3%  | 8.3%  | 8.3%  | 8.3%  | 8.3%  | 8.3%  | 8.3%  | 8.3%  | 8.3%  | 8.3%  | 8.3%  | 8.3%    |
| Continuing Value (CV)              |     |       |       |       |       |       |       |       |       |       |       |       | 127,465 |
| Implied Forward CV / EBIT Multiple |     |       |       |       |       |       |       |       |       |       |       |       | 13.3x   |
| Discount year                      |     | 1     | 2     | 3     | 4     | 5     | 6     | 7     | 8     | 9     | 10    |       |         |
| Discount factor                    |     | 92.3% | 85.2% | 78.7% | 72.6% | 67.0% | 61.9% | 57.1% | 52.8% | 48.7% | 45.0% |       |         |
| PV of FCFF                         |     | 3,231 | 2,415 | 2,933 | 3,138 | 2,814 | 2,786 | 2,721 | 2,639 | 2,588 | 2,464 |       |         |
| Sum of PV of FCFF                  |     |       |       |       |       |       |       |       |       |       |       |       | 27,768  |
| PV of CV                           |     |       |       |       |       |       |       |       |       |       |       |       | 57,362  |
| Enterprise Value (EV)              |     |       |       |       |       |       |       |       |       |       |       |       | 85,051  |
| Mid-year adjusted EV               |     |       |       |       |       |       |       |       |       |       |       |       | 88,520  |
| Implied forward EV / EBIT Multiple |     |       |       |       |       |       |       |       |       |       |       |       |         |
| Plus: Excess cash                  |     |       |       |       |       |       |       |       |       |       |       |       | 1,547   |
| Plus: ST investments               |     |       |       |       |       |       |       |       |       |       |       |       | 247     |
| Plus: LT investments               |     |       |       |       |       |       |       |       |       |       |       |       | 247     |
| Plus: Equity investments           |     |       |       |       |       |       |       |       |       |       |       |       | 466     |
| Less: All ST debt                  |     |       |       |       |       |       |       |       |       |       |       |       | 1,499   |
| Less: LT Debt and Excess LT Debt   |     |       |       |       |       |       |       |       |       |       |       |       | 14,576  |
| Less: Non-controlling interest     |     |       |       |       |       |       |       |       |       |       |       |       | 7       |
| Implied equity value               |     |       |       |       |       |       |       |       |       |       |       |       | 74,944  |
| No. diluted shares outstanding     |     |       |       |       |       |       |       |       |       |       |       |       | 1,140   |
| Implied share price                |     |       |       |       |       |       |       |       |       |       |       |       | \$65.75 |



| Financial Model                                               |        |        |        |        |        |        |        |        |        |        |        |        |        |        |        |        |        |
|---------------------------------------------------------------|--------|--------|--------|--------|--------|--------|--------|--------|--------|--------|--------|--------|--------|--------|--------|--------|--------|
| S&P unless otherwise noted                                    |        |        |        |        |        |        |        |        |        |        |        |        |        |        |        |        |        |
|                                                               | 2018A  | 2019A  | 2020A  | 2021A  | 2022A  | 2023A  | 2024A  | 2025A  | 2026E  | 2027E  | 2028E  | 2029E  | 2030E  | 2031E  | 2032E  | 2033E  | 2034E  |
| Income Statement                                              |        |        |        |        |        |        |        |        |        |        |        |        |        |        |        |        |        |
| Net revenues:                                                 |        |        |        |        |        |        |        |        |        |        |        |        |        |        |        |        |        |
| Company-operating stores                                      | 79.7%  | 81.3%  | 81.5%  | 84.7%  | 82.4%  | 81.9%  | 82.3%  | 82.7%  | 81.9%  | 81.8%  | 81.5%  | 81.5%  | 81.3%  | 81.2%  | 81.1%  | 81.0%  | 80.9%  |
| Licensed stores                                               | 10.7%  | 10.8%  | 9.9%   | 9.2%   | 11.3%  | 12.5%  | 12.5%  | 11.7%  | 12.6%  | 12.7%  | 12.8%  | 12.9%  | 13.0%  | 13.0%  | 13.1%  | 13.2%  | 13.2%  |
| Other                                                         | 9.6%   | 7.9%   | 8.6%   | 6.1%   | 6.3%   | 5.6%   | 5.3%   | 5.6%   | 5.7%   | 5.7%   | 5.7%   | 5.7%   | 5.8%   | 5.8%   | 5.9%   | 5.9%   | 5.9%   |
| Total net revenues                                            | 100.0% | 100.0% | 100.0% | 100.0% | 100.0% | 100.0% | 100.0% | 100.0% | 100.0% | 100.0% | 100.0% | 100.0% | 100.0% | 100.0% | 100.0% | 100.0% | 100.0% |
| Revenue                                                       | 7.2%   | 7.2%   | 7.2%   | 7.6%   | 7.6%   | 7.6%   | 7.6%   | 7.6%   | 7.6%   | 7.6%   | 7.6%   | 7.6%   | 7.6%   | 7.6%   | 7.6%   | 7.6%   | 7.6%   |
| Product and distribution costs (COGs) ex-depreciation         | 31.8%  | 31.9%  | 32.4%  | 29.8%  | 31.7%  | 31.5%  | 30.7%  | 31.1%  | 30.7%  | 30.7%  | 30.7%  | 30.7%  | 30.7%  | 30.7%  | 30.7%  | 30.7%  | 30.7%  |
| Gross profit                                                  | 68.2%  | 68.1%  | 67.6%  | 70.2%  | 68.3%  | 68.5%  | 69.3%  | 68.9%  | 69.3%  | 69.3%  | 69.3%  | 69.3%  | 69.3%  | 69.3%  | 69.3%  | 69.3%  | 69.3%  |
| Store operating expenses                                      | 38.3%  | 39.6%  | 45.8%  | 41.1%  | 42.1%  | 40.9%  | 42.3%  | 45.9%  | 43.8%  | 42.9%  | 42.4%  | 42.0%  | 41.8%  | 41.7%  | 41.7%  | 41.7%  | 41.6%  |
| Other operating expenses                                      | 2.2%   | 1.4%   | 1.8%   | 1.2%   | 1.4%   | 1.5%   | 1.6%   | 1.7%   | 1.7%   | 1.7%   | 1.7%   | 1.7%   | 1.7%   | 1.7%   | 1.7%   | 1.8%   | 1.8%   |
| Depreciation (includes depreciation from COGs)                | 4.2%   | 4.6%   | 5.4%   | 4.5%   | 4.1%   | 4.0%   | 4.3%   | 4.7%   | 4.3%   | 4.3%   | 4.3%   | 4.3%   | 4.3%   | 4.3%   | 4.3%   | 4.3%   | 4.3%   |
| Amortization                                                  | 0.8%   | 0.9%   | 1.0%   | 0.8%   | 0.8%   | 0.8%   | 0.1%   | 0.1%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   |
| General and administrative (G&A)                              | 6.9%   | 6.9%   | 7.1%   | 6.7%   | 6.3%   | 6.8%   | 7.0%   | 7.0%   | 7.0%   | 7.0%   | 7.0%   | 7.0%   | 7.0%   | 7.0%   | 7.0%   | 7.0%   | 7.0%   |
| EBIT                                                          | 15.4%  | 14.8%  | 14.5%  | 16.8%  | 13.7%  | 15.3%  | 14.1%  | 14.3%  | 12.5%  | 13.4%  | 13.9%  | 14.3%  | 14.5%  | 14.5%  | 14.6%  | 14.7%  | 14.7%  |
| EBITDA                                                        | 26.7%  | 28.2%  | 28.3%  | 31.3%  | 28.5%  | 29.3%  | 28.5%  | 28.5%  | 26.8%  | 27.7%  | 28.2%  | 28.3%  | 28.4%  | 28.4%  | 28.5%  | 28.6%  | 28.6%  |
| Restructuring and impairments                                 | 0.9%   | 0.5%   | 1.2%   | 0.6%   | 0.1%   | 0.1%   | 0.0%   | 2.4%   | 0.2%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   |
| Income from equity investees                                  | 1.2%   | 1.1%   | 1.4%   | 1.3%   | 0.7%   | 0.8%   | 0.8%   | 0.7%   | 0.8%   | 0.7%   | 0.7%   | 0.8%   | 0.8%   | 0.8%   | 0.8%   | 0.8%   | 0.8%   |
| Gains from acquisitions                                       | 5.6%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   |
| Gains from divestitures                                       | 2.0%   | 2.3%   | 0.0%   | 3.0%   | 0.0%   | 0.3%   | 0.0%   | 0.0%   | 0.5%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   |
| Interest expense                                              | 0.7%   | 1.2%   | 1.9%   | 1.6%   | 1.5%   | 1.6%   | 1.5%   | 1.6%   | 1.5%   | 1.7%   | 1.7%   | 1.6%   | 1.4%   | 1.3%   | 1.2%   | 1.1%   | 0.9%   |
| Interest income & other                                       | 0.8%   | 0.4%   | 0.2%   | 0.3%   | 0.3%   | 0.2%   | 0.3%   | 0.3%   | 0.1%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   |
| Income before taxes                                           | 23.4%  | 16.8%  | 15.0%  | 18.4%  | 13.1%  | 15.0%  | 13.7%  | 16.7%  | 11.6%  | 12.4%  | 12.9%  | 13.4%  | 13.6%  | 13.8%  | 13.9%  | 14.0%  | 14.2%  |
| Income tax expense                                            | 5.1%   | 3.3%   | 3.0%   | 4.0%   | 2.9%   | 3.6%   | 3.3%   | 3.3%   | 1.7%   | 2.9%   | 3.1%   | 3.1%   | 3.2%   | 3.3%   | 3.3%   | 3.4%   | 3.4%   |
| Net income including non-controlling interests                | 18.3%  | 13.6%  | 12.0%  | 14.5%  | 10.2%  | 11.5%  | 10.4%  | 13.4%  | 9.9%   | 9.5%   | 9.8%   | 10.2%  | 10.4%  | 10.5%  | 10.6%  | 10.7%  | 10.8%  |
| Net (loss) / income attributable to non-controlling interests | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   |
| Net income attributable to SBUX shareholders                  | 18.3%  | 13.6%  | 12.0%  | 14.5%  | 10.2%  | 11.5%  | 10.4%  | 13.4%  | 9.9%   | 9.5%   | 9.8%   | 10.2%  | 10.4%  | 10.5%  | 10.6%  | 10.7%  | 10.8%  |
| Balance Sheet                                                 |        |        |        |        |        |        |        |        |        |        |        |        |        |        |        |        |        |
| Operating cash                                                | 4.6%   | 6.2%   | 3.6%   | 4.2%   | 5.2%   | 5.5%   | 5.2%   | 5.2%   | 5.6%   | 5.7%   | 5.8%   | 5.9%   | 5.9%   | 5.9%   | 5.9%   | 5.9%   | 5.7%   |
| Excess cash                                                   | 31.6%  | 7.8%   | 11.2%  | 16.4%  | 4.9%   | 6.4%   | 5.3%   | 4.8%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   |
| Short-term investments                                        | 0.0%   | 0.0%   | 1.0%   | 0.5%   | 1.3%   | 1.4%   | 0.8%   | 0.8%   | 0.8%   | 0.8%   | 0.8%   | 0.7%   | 0.7%   | 0.6%   | 0.6%   | 0.5%   | 0.5%   |
| Accounts receivable, net                                      | 2.9%   | 4.6%   | 3.0%   | 3.0%   | 4.2%   | 4.0%   | 3.9%   | 4.0%   | 4.6%   | 4.6%   | 4.5%   | 4.6%   | 4.7%   | 4.7%   | 4.7%   | 4.8%   | 4.7%   |
| Inventories                                                   | 5.8%   | 8.0%   | 5.3%   | 5.1%   | 7.8%   | 6.1%   | 5.7%   | 6.8%   | 6.8%   | 6.6%   | 6.5%   | 6.4%   | 6.4%   | 6.4%   | 6.4%   | 6.4%   | 6.2%   |
| Prepaid expenses and other current assets                     | 6.1%   | 2.5%   | 2.5%   | 1.9%   | 0.7%   | 1.2%   | 1.0%   | 1.5%   | 1.6%   | 1.2%   | 1.2%   | 1.2%   | 1.2%   | 1.2%   | 1.2%   | 1.2%   | 1.1%   |
| Current Assets                                                | 51.7%  | 29.4%  | 28.6%  | 31.1%  | 25.1%  | 24.8%  | 21.8%  | 23.1%  | 19.2%  | 19.8%  | 18.8%  | 18.7%  | 18.8%  | 18.9%  | 18.8%  | 18.8%  | 18.2%  |
| Long-term investments                                         | 1.1%   | 1.1%   | 0.7%   | 0.9%   | 1.0%   | 0.8%   | 0.9%   | 0.8%   | 0.9%   | 0.9%   | 0.8%   | 0.8%   | 0.7%   | 0.7%   | 0.7%   | 0.6%   | 0.5%   |
| Equity investments                                            | 1.4%   | 2.1%   | 1.6%   | 0.9%   | 1.1%   | 1.5%   | 1.5%   | 1.5%   | 2.5%   | 3.3%   | 4.0%   | 4.7%   | 5.2%   | 5.7%   | 6.1%   | 6.4%   | 7.3%   |
| PP&E, net                                                     | 24.5%  | 33.5%  | 31.2%  | 20.3%  | 23.4%  | 25.1%  | 27.7%  | 26.5%  | 30.4%  | 31.8%  | 33.7%  | 35.4%  | 37.0%  | 38.6%  | 40.2%  | 41.7%  | 44.7%  |
| Operating lease, ROU asset                                    | 0.0%   | 0.0%   | 27.7%  | 26.2%  | 28.6%  | 28.6%  | 29.6%  | 29.1%  | 29.4%  | 28.4%  | 27.4%  | 25.5%  | 24.5%  | 23.2%  | 22.0%  | 20.8%  | 19.8%  |
| Deferred income taxes, net                                    | 0.6%   | 9.2%   | 6.1%   | 6.0%   | 6.4%   | 6.0%   | 5.6%   | 5.7%   | 5.7%   | 5.5%   | 5.2%   | 4.9%   | 4.7%   | 4.4%   | 4.2%   | 4.0%   | 3.4%   |
| Other long-term assets                                        | 1.7%   | 2.5%   | 1.9%   | 1.8%   | 2.0%   | 1.9%   | 2.0%   | 2.0%   | 1.9%   | 1.8%   | 1.7%   | 1.6%   | 1.5%   | 1.4%   | 1.3%   | 1.3%   | 1.2%   |
| Other intangible assets                                       | 4.3%   | 4.1%   | 3.9%   | 1.1%   | 0.6%   | 0.4%   | 0.3%   | 0.5%   | 0.5%   | 0.4%   | 0.4%   | 0.4%   | 0.3%   | 0.3%   | 0.3%   | 0.2%   | 0.2%   |
| Goodwill                                                      | 14.7%  | 18.2%  | 12.2%  | 11.7%  | 11.7%  | 10.9%  | 10.6%  | 10.3%  | 10.2%  | 9.8%   | 9.7%   | 9.3%   | 8.8%   | 8.3%   | 7.8%   | 7.1%   | 6.4%   |
| Total Assets                                                  | 100.0% | 100.0% | 100.0% | 100.0% | 100.0% | 100.0% | 100.0% | 100.0% | 100.0% | 100.0% | 100.0% | 100.0% | 100.0% | 100.0% | 100.0% | 100.0% | 100.0% |
| Accounts payable                                              | 4.9%   | 6.2%   | 3.4%   | 3.9%   | 5.2%   | 5.2%   | 5.1%   | 5.8%   | 5.9%   | 5.8%   | 5.8%   | 5.8%   | 5.7%   | 5.8%   | 5.8%   | 5.8%   | 5.6%   |
| Accrued liabilities                                           | 7.3%   | 9.1%   | 4.0%   | 7.4%   | 7.6%   | 7.3%   | 7.0%   | 7.4%   | 8.0%   | 7.7%   | 7.9%   | 8.0%   | 8.0%   | 8.0%   | 8.0%   | 8.0%   | 7.8%   |
| Accrued payroll & benefits                                    | 2.7%   | 3.5%   | 2.4%   | 2.5%   | 2.7%   | 2.8%   | 2.5%   | 2.8%   | 3.4%   | 3.2%   | 3.0%   | 2.9%   | 2.9%   | 2.9%   | 2.9%   | 2.9%   | 2.8%   |
| Income taxes payable                                          | 0.4%   | 0.7%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   |
| Current portion of operating lease liability                  | 0.0%   | 0.0%   | 4.3%   | 4.0%   | 4.5%   | 4.3%   | 4.7%   | 4.9%   | 6.3%   | 5.4%   | 4.6%   | 4.1%   | 3.9%   | 3.7%   | 3.5%   | 3.3%   | 2.8%   |
| Store value and liability and current portion of deferred on  | 6.5%   | 6.7%   | 6.6%   | 5.0%   | 5.1%   | 5.0%   | 5.8%   | 5.7%   | 6.1%   | 6.2%   | 6.3%   | 6.4%   | 6.4%   | 6.4%   | 6.4%   | 6.4%   | 6.2%   |
| Insurance reserves and accrued litigation charge              | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   |
| Short-term debt                                               | 0.0%   | 0.0%   | 1.5%   | 0.0%   | 0.6%   | 0.1%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   |
| Current portion of LT debt                                    | 1.4%   | 0.0%   | 4.3%   | 2.2%   | 6.3%   | 6.2%   | 4.0%   | 4.7%   | 4.6%   | 4.6%   | 4.2%   | 2.8%   | 6.6%   | 1.2%   | 1.1%   | 1.0%   | 0.7%   |
| Current Liabilities                                           | 23.5%  | 21.1%  | 25.0%  | 24.6%  | 32.7%  | 31.7%  | 28.4%  | 31.9%  | 34.4%  | 33.0%  | 33.7%  | 29.8%  | 33.5%  | 28.8%  | 29.6%  | 27.4%  | 25.9%  |
| Long-term (LT) debt                                           | 37.6%  | 58.1%  | 49.9%  | 43.4%  | 46.9%  | 46.0%  | 45.7%  | 45.5%  | 42.2%  | 35.8%  | 27.9%  | 23.7%  | 15.8%  | 13.7%  | 10.6%  | 8.9%   | 6.0%   |
| Excess long-term (LT) debt                                    | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.6%   | 7.3%   | 11.2%  | 14.8%  | 15.6%  | 19.5%  | 17.7%  | 16.8%  | 12.1%  |
| Operating lease liability                                     | 0.0%   | 0.0%   | 26.1%  | 24.6%  | 26.9%  | 26.9%  | 28.0%  | 27.8%  | 26.0%  | 24.5%  | 24.5%  | 23.2%  | 21.0%  | 20.8%  | 19.7%  | 18.7%  | 17.0%  |
| Deferred revenue                                              | 28.0%  | 35.1%  | 22.5%  | 20.6%  | 22.4%  | 20.7%  | 19.0%  | 18.0%  | 18.4%  | 17.5%  | 17.6%  | 16.4%  | 15.7%  | 14.9%  | 14.1%  | 13.4%  | 12.1%  |
| Other long-term liabilities                                   | 5.9%   | 7.1%   | 3.1%   | 2.4%   | 2.2%   | 1.7%   | 2.1%   | 1.8%   | 1.9%   | 2.0%   | 1.9%   | 1.8%   | 1.7%   | 1.6%   | 1.5%   | 1.4%   | 1.3%   |
| Total Liabilities                                             | 95.1%  | 122.4% | 126.6% | 116.9% | 131.1% | 127.1% | 123.7% | 125.3% | 126.4% | 121.5% | 116.8% | 111.3% | 105.5% | 99.6%  | 92.7%  | 87.8%  | 76.1%  |
| Common stock - par value                                      | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   |
| Additional paid in capital                                    | 0.2%   | 0.2%   | 1.3%   | 2.7%   | 0.7%   | 0.1%   | 1.0%   | 2.0%   | 1.0%   | 1.0%   | 0.9%   | 0.9%   | 0.8%   | 0.8%   | 0.7%   | 0.7%   | 0.6%   |
| Retained earnings / (deficit)                                 | 0.0%   | -30.0% | -26.6% | -20.1% | -30.2% | -24.6% | -23.4% | -23.8% | -22.0% | -21.2% | -16.3% | -11.0% | -5.3%  | 0.6%   | 6.3%   | 12.4%  | 24.1%  |
| Accumulated other comprehensive income / (loss)               | -1.4%  | -2.6%  | -1.2%  | -0.5%  | -1.7%  | -2.8%  | -1.4%  | -1.4%  | -1.5%  | -1.3%  | -1.2%  | -1.1%  | -1.1%  | -1.0%  | -0.9%  | -0.8%  | -0.8%  |
| SBUX Shareholders' Equity                                     | 4.8%   | -32.4% | -26.6% | -17.6% | -31.1% | -27.2% | -23.8% | -25.3% | -25.4% | -21.6% | -16.8% | -11.3% | -5.5%  | 0.3%   | 6.2%   | 12.1%  | 23.8%  |
| Non-controlling interest                                      | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   |
| Total Liabilities and Total Shareholders' Equity              | 100.0% | 100.0% | 100.0% | 100.0% | 100.0% | 100.0% | 100.0% | 100.0% | 100.0% | 100.0% | 100.0% | 100.0% | 100.0% | 100.0% | 100.0% | 100.0% | 100.0% |

## Starbucks Corporation

### Beta Calculation

#### Beta Calculation

\$ in billions

| Comparable Companies | Levered Beta | Total Debt (TD) | Market Cap (MC) | TD / MC | MTR   | Unlevered Beta | Rating |
|----------------------|--------------|-----------------|-----------------|---------|-------|----------------|--------|
| Nestle S.A.          | 0.520        | 73.6            | 265.6           | 28%     | 25.0% | 0.431          | a      |
| PepsiCo, Inc.        | 0.410        | 53.0            | 212.5           | 25%     | 25.0% | 0.345          | a+     |
| Keurig Dr Pepper     | 0.360        | 19.2            | 39.8            | 48%     | 25.0% | 0.264          | bbb-   |
| Dutch Bros Inc.      | 2.510        | 1.1             | 7.3             | 15%     | 25.0% | 2.258          | BB-    |
| McDonald's Corp.     | 0.530        | 54.8            | 212.8           | 26%     | 25.0% | 0.444          | BBB+   |
| Average              |              |                 |                 | 29%     |       | 0.824          |        |
| Median               |              |                 |                 | 26%     |       | 0.388          |        |

#### Selected Target Capital Structure

|                       | Published beta |      |       |     |       | Unlevered Beta | Relevered Beta |
|-----------------------|----------------|------|-------|-----|-------|----------------|----------------|
| Starbucks Corporation | 0.940          | 26.6 | 112.4 | 24% | 25.0% | 0.798          | 0.940          |